

The FAA's review of a sponsor's plans or specifications is for the benefit of the FAA. This review is not intended to relieve the sponsor of their responsibility to fully comply with AIP requirements and does not represent approval of the plans or specifications.

In addition, sponsor certification of plans and specifications does not relieve the sponsor of the requirement to obtain prior FAA approval for modifications to standards or to notify the ADO of any limitations to competition within the project.

Table 3-20 Required Content for Engineer's Reports

Engineer's reports must include...	
a. Design Computations.	The report must include a summary of the design computations used in the design of major development items. The sponsor is required to include pavement design information by either submitting FAA Form 5100-1, Airport Pavement Design or by submitting the first page of this form with the FAARFIELD design results. A summary of computations and a description of the method used to conduct the drainage design must be presented. Earthwork cross-sections and mathematical calculations for designs are not required to be included in the design report unless requested by the ADO.
b. Selections of Design Materials and Equipment and Proposed Modifications to Standards.	The engineer's choices and recommended modifications will, in most cases, be influenced by service records for comparable construction and by cost comparisons. The report must include concise statements and cost comparisons that justify selections made and the proposed modifications to standards proposed in the project. The current version of FAA Order 5300.1, Approval Level for Modification of Agency Airport Design and Construction Standards, provides additional information on modifications to design and construction standards.
c. Sole-Source, Proprietary, or other Competition-Limiting Specifications or Design Elements.	The report must list all such items, including the reason for the limitation, impacts of limiting competition, and the benefits to the Federal government for the proposal.
d. Other Elements.	The report must outline related project work elements to be done without AIP assistance, including details on how the work is to be accomplished, and how it relates to the AIP work. Work to be done by utility companies must be described in sufficient detail to verify adequate funding for the work.
e. Support Data.	The report must also include supporting data and itemized project cost estimates with source information. Any unique circumstances that may influence adjustments of existing project cost estimates must be explained.

Section 10. Project Procured Correctly.

3-29. Importance of 2 CFR §§ 200.317-200.326 (Formerly 49 CFR § 18.36).

Sponsors must follow 2 CFR §§ 200.317-200.326 when making procurements under an AIP grant. This regulation contains the policies and procedures for AIP project actions such as construction, equipment purchases, and selection for professional services. If a sponsor fails to

meet any of the procurement requirements for their AIP funded project, it may result in the ADO determining a normally allowable cost to be unallowable.

3-30. Sponsor Procurement Requirements.

The sponsor, not the ADO, is responsible for meeting all procurement requirements. The sponsor establishes, enforces, and administers the contract agreements and is responsible for all contractual matters, including evaluation and award of contract, resolution of claims and disputes, and settlement of litigation issues. The ADO is not a party to the contracts that a sponsor executes under an AIP grant.

Per 2 CFR § 200.318(k), the ADO cannot substitute their judgment for the sponsor unless the matter is primarily a Federal concern. However, the ADO still has a defined role in procurement oversight per 2 CFR §§ 200.317-200.326 as further defined in this chapter.

Sponsor procurement requirements are discussed in more detail in Appendix U.

3-31. Summary Table of Mandatory/Optional ADO Procurement Review.

There are only certain situations where the ADO is required by 2 CFR §§ 200.317-200.326 to review the sponsor's procurement process. Otherwise, 2 CFR § 200.324(c)(2) allows the ADO to accept sponsor certification that the sponsor is following 2 CFR §§ 200.317-200.326. This certification is included in the grant assurances signed by the sponsor and therefore, no additional action is required by the ADO.

There are also certain situations where FAA policy or legislation requires the ADO to review the sponsor's procurement process. Table 3-21 contains a summary of the mandatory and optional ADO procurement review responsibilities. The ADO always has the option of reviewing any sponsor procurement documents and systems at any time during the grant process.

Table 3-21 Summary Table of Mandatory/Optional ADO Procurement Review

For the following situation...	ADO review is...	The associated 2 CFR §§ 200.317-200.326 general reference is...	And the requirements are in Paragraph...
a. Bid Protests and Appeals.	Mandatory (but limited in nature)	2 CFR § 200.318(k)	3-32
b. Procurement Protests and Appeals after the Contract Award.	Mandatory (but limited in nature)	2 CFR § 200.318(k)	3-33
c. Bonding that Does Not Meet the Minimum Requirements.	Mandatory (or can rely on sponsor's written assurance)	2 CFR § 200.325	3-34

Table 3-21 Summary Table of Mandatory/Optional ADO Procurement Review

For the following situation...	ADO review is...	The associated 2 CFR §§ 200.317-200.326 general reference is...	And the requirements are in Paragraph...
d. Noncompetitive Proposals (Including Sole Source and Inadequate Number of Qualified Sources).	Mandatory	2 CFR § 200.320(f)	3-35
e. Limited Noncompetitive Proposal Situations (ALCMS Modifications, One Manufacturer, Sponsor Preferred, Prohibited LED Lighting).	Mandatory (for prohibited LED Lighting the notification review is mandatory and review of the procurement documents is optional)	2 CFR § 200.320(f) (N/A for prohibited LED lighting)	3-36
f. Change Orders, Supplemental Agreements, and Contract Modifications.	Mandatory (but not required until the ADO is issuing an amendment or closing the grant)	2 CFR § 200.320(f)	3-37
g. Contract Clauses and Contract Provisions Required for AIP Grants.	Optional (ADO responsibility is limited to notifying new sponsors of requirements)	2 CFR § 200.326	3-38
h. Contracts Containing Ineligible and/or Non-AIP Funded Work.	Mandatory	N/A	3-39
i. Contracts Containing Requirements that May Reduce the Number of Potential Bidders.	Mandatory	2 CFR § 200.319	3-40
j. Contracts Containing Work that Exceeds FAA Standards.	Mandatory	N/A	3-41
k. Consultant Contracts (Qualifications Based with Negotiated Price).	Optional with Sponsor Certification (unless sponsor deviates from requirements, then mandatory)	2 CFR § 200.320(d)	3-42
l. Design-Build and Construction Manager-at-Risk Contracts.	Mandatory	2 CFR § 200.320(d)	3-43

Table 3-21 Summary Table of Mandatory/Optional ADO Procurement Review

For the following situation...	ADO review is...	The associated 2 CFR §§ 200.317-200.326 general reference is...	And the requirements are in Paragraph...
m. Engineering Materials Arrestor System (EMAS).	Mandatory	2 CFR § 200.320(d)	3-44
n. Bid Alternates (Including Life Cycle Cost Analysis Alternates) and Bid Additives.	Optional with Sponsor Certification	2 CFR § 200.320(c)	3-45
o. Bidding Asphalt and Concrete Alternates.	Optional with Sponsor Certification	2 CFR § 200.320(c)	3-46
p. Buy American Requirements	Mandatory (if a waiver is required)	N/A	3-47
q. DOT Office of Inspector General (OIG) Notification of Potential Procurement/Bid Improprieties.	Mandatory	N/A	3-48
r. Escalator Clauses	Mandatory	N/A	3-49
s. Plans and Specifications Review.	As required in "Plans and Specifications Review Implementation Memorandum" published by FAA Office of Airport Safety and Standards.	2 CFR § 200.324(a)	3-50
t. Pre-award Review of Contracts.	Optional with Sponsor Certification	2 CFR § 200.324(b)	3-51
u. Sponsor's Procurement System.	Optional with Sponsor Certification	2 CFR § 200.324(c)	3-52
v. Force Account Work.	Mandatory	N/A	3-53
w. Value Engineering.	Mandatory	2 CFR § 200.318(g)	3-54
x. Indefinite Delivery (Task Orders) Extensions for <i>Construction Services</i> .	Mandatory	N/A	3-55

Table 3-21 Summary Table of Mandatory/Optional ADO Procurement Review

For the following situation...	ADO review is...	The associated 2 CFR §§ 200.317-200.326 general reference is...	And the requirements are in Paragraph...
y. Indefinite Delivery (Task Orders) Extensions for <i>Consultant</i> Services..	Mandatory	N/A	3-56
z. Suspension or Debarment of Persons or Companies.	Optional with Sponsor Certification (mandatory if a problem is identified)	2 CFR part 180 and 2 CFR part 1200	3-57

3-32. Bid Protests and Appeals.

The sponsor requirements for bid protests and appeals is contained in 2 CFR § 200.318(k) (see Paragraph U-10). Table 3-22 contains the ADO specific review requirements. Many bid protests result from a sponsor's improper modification of project specifications or solicitation package to include a sponsor's preference. In those situations, the ADO must not rely on the sponsor to resolve the protest, but must treat the protest as a Federal concern. Table 3-23 contains additional requirements for bid protests that are a Federal concern.

Table 3-22 ADO Review Requirements for Bid Protest and Appeals

The following applies...
a. Protest Sent Directly to the FAA by the Protester. If a protest is sent directly to the FAA, the FAA must send a copy of the protest to the sponsor per FAA policy. The ADO must notify the protester that the protest has been forwarded to the sponsor and they must deal directly with the sponsor. In addition, the ADO must request the sponsor to send a copy of the sponsor's protest procedures to the ADO. Per 2 CFR § 200.318(k), the sponsor is responsible for handling bid complaints and protests. The ADO's review responsibility at this point is limited to a cursory review of the protest to determine if there is a Federal concern and establishing that the sponsor has protest procedures in place. If there is a Federal concern, the ADO must notify the sponsor and request the sponsor immediately send a copy of the sponsor's proposed resolution. The ADO must not issue AIP funding until the ADO is satisfied the sponsor resolved the issue and correctly addressed any Federal concerns.
b. Copies of Protests Sent to the ADO by the Sponsor. After the sponsor's mandatory and timely submittal of the bid protests <i>and a copy of the sponsor protest procedures</i> to the ADO, the ADO's review responsibility at this point is limited to scanning the protest to determine if there is a Federal concern and establishing that the sponsor has protest procedures in place.

Table 3-22 ADO Review Requirements for Bid Protest and Appeals

The following applies...
c. Protests that are a Federal Concern. 2 CFR § 200.318(k) cautions that the Federal agencies (the ADO) not substitute their judgment for that of the sponsor unless the matter is a Federal concern. If there is a Federal concern, the ADO must notify the sponsor and request a resolution. The ADO must not issue AIP funding until the ADO is convinced the sponsor resolved the issue and correctly addressed any Federal concerns.
d. Cancellation of Prior Approval or Sponsor Certification. The receipt of the bid protest automatically cancels the ADO approval of the plans and specification or acceptance of the sponsor's certification.
e. Restrictions on AIP Funding Pending Resolution. The ADO must not issue AIP funding until the ADO has received the sponsor's written notification of how the issue was resolved and the ADO is satisfied the sponsor resolved the issue and correctly addressed any Federal concerns. By issuing the associated grant, the ADO is documenting their determination that the bid protest has been resolved.
f. Protester Appeals. Per FAA policy, a protester may pursue a protest with the Federal agency after exhausting all administrative remedies with the sponsor. Before taking any action, the ADO must have conducted a cursory review of the protest to determine if there is a Federal concern and established whether the sponsor has protest procedures in place. The ADO has the option to respond to the protester, but is not required to by 2 CFR §§ 200.317-200.326.

Table 3-23 Additional Actions for Bid Protests that are a Federal Concern

The following applies...
a. Determining a Federal Concern. Federal concerns include violation of Federal law or regulations. It includes allegations that the project plans or specifications have been altered to give preference to a manufacturer, to exclude a product, or otherwise limit competition. This is because limiting competition may violate 2 CFR § 200.319. Modification of specifications without receiving an FAA Modification of Standards is also a Federal concern.
b. Copies of Redlined Specifications and Solicitation Package Sent to the ADO by the Sponsor. The sponsor must send the ADO a copy of the as-bid specifications and the complete solicitation package, detailing where changes to the FAA standard specification have been made and which aspects of the solicitation are being protested.
c. Protests that Must Be Forwarded. If the bid protest involves another FAA line of business, such as the FAA Office of Civil Rights, the ADO must forward all documentation regarding the protest to the affected office. The ADO must notify the sponsor of the transfer and must advise the sponsor that the ADO will not issue AIP funding until the issue is resolved.

Table 3-23 Additional Actions for Bid Protests that are a Federal Concern

The following applies...
d. Cancellation or Rebidding a Project. If the ADO determines that the protest was a result of improper modification of the specifications or an otherwise defective solicitation package, the ADO must advise the sponsor that additional costs incurred fixing the package and soliciting the project are not eligible for reimbursement.
e. Documenting ADO Actions. Where the bid protest is a Federal concern, the ADO must document steps in the grant file that the ADO takes to ensure that the sponsor properly resolves the protest.

3-33. Procurement Protests and Appeals after the Contract Award.

The ADO review requirements for protest and appeals that occur after the contract is awarded is the same as the requirements for bid protests and appeals in Paragraph 3-32. However, since the project may already be under grant, the ADO must notify the sponsor that the sponsor must not request payments for the disputed costs.

3-34. Bonding that Does Not Meet the Minimum Requirements.

The sponsor requirements for bonding are contained in 2 CFR § 200.325 (see Paragraph U-23). Table 3-24 contains the ADO specific review requirements for bonding that does not meet the minimum requirements in 2 CFR § 200.325.

Table 3-24 ADO Review Requirements for Bonding that Does Not Meet the Minimum Requirements

For...	The following applies...
a. Bonding that Does Not Meet the Minimum Requirements.	The ADO is allowed to rely on the sponsor's written assurance that the Federal interests are adequately protected under the proposed bonding method. As long as the ADO has not issued a written negative determination, it is implicitly implied that the ADO has issued a favorable determination for all future procurement actions using the proposed bonding method.
b. Combined Payment and Performance Bonds.	The ADO is allowed to rely on the sponsor's written assurance that the Federal interests are adequately protected under the combined payment and performance bonding proposal. As long as the ADO has not issued a written negative determination, it is implicitly implied that the ADO has issued a favorable determination for all future procurement actions using the proposed bonding method.

3-35. Noncompetitive Proposals (Including Sole Source and Inadequate Number of Qualified Sources).

Sponsors are only allowed to use a noncompetitive procurement process for the limited circumstances outlined in 2 CFR § 200.320(f) (see Paragraph U-18). Some special noncompetitive proposal situations and their associated requirements are included in Paragraph 3-36.

Per FAA policy, the ADO must not issue a grant that includes noncompetitive proposals unless the ADO has reviewed the proposal and concurs that the requirements of 2 CFR § 200.320(f) have been met (see Paragraph U-18). The exception is for change orders, supplemental agreements, and contract modifications, which are discussed in Paragraph 5-35.

Except as otherwise noted in this section, the ADO has the option to document their concurrence either by notifying the sponsor in writing (with a copy to the grant file) or issuing the grant.

3-36. Limited Noncompetitive Proposal Situations (ALCMS Modifications, One Manufacturer, Sponsor Preferred, Prohibited LED Lighting).

Some limited noncompetitive proposal situations and their associated requirements are included in Table 3-25. These requirements are in addition to those in Paragraph 3-35.

Table 3-25 Procurement Rules for Limited Noncompetitive Proposal Situations

For the following limited noncompetitive situation...	The following applies...
a. Airfield Lighting Control and Monitoring System (ALCMS) Modifications	(1) Only for ALCMS Modifications. The following requirements only apply to ALCMS modifications. Sponsors must competitively procure new ALCMS installations. (2) Separation into a Noncompetitive Procurement. There are very specific requirements to separate the procurement into a separate noncompetitive procurement. These sponsor procurement requirements are contained in Paragraph U-18. (3) ADO Review of Sponsor Notification. The ADO must review the sponsor notification to verify if all of the requirements in Paragraph U-18 have been met. It is not necessary for the ADO to acknowledge the sponsor's notification. (4) Filing of Sponsor Notification. The ADO must keep a copy of the sponsor's notification and any ADO acknowledgement in the grant file. (5) Equipment and/or Installation Eligibility. The eligibility for the purchase and/or installation of this equipment is contained in Paragraph 3-93.

Table 3-25 Procurement Rules for Limited Noncompetitive Proposal Situations

For the following limited noncompetitive situation...	The following applies...
b. Certified Airfield Lighting Equipment with Only One Manufacturer	(1) Separation into a Noncompetitive Procurement. There are very specific requirements to separate the procurement into a separate noncompetitive procurement. These sponsor procurement requirements are contained in Paragraph U-18. (2) ADO Review of Sponsor Notification. The ADO must review the sponsor notification to verify if all of the requirements in Paragraph U-18 have been met. It is not necessary for the ADO to acknowledge the sponsor's notification. (3) Filing of Sponsor Notification. The ADO must keep a copy of the sponsor's notification and any ADO acknowledgement in the grant file. (4) Equipment and/or Installation Eligibility. The eligibility for the purchase and/or installation of this equipment is contained in Paragraph 3-93.
c. Sponsor Preferred Airfield Lighting Equipment	(1) Separation into a Noncompetitive Procurement. There are very specific requirements to separate the procurement into a separate noncompetitive procurement. These sponsor procurement requirements are contained in Paragraph U-18. (2) ADO Review of Sponsor Notification. The ADO must review the sponsor notification to verify if all of the requirements in Paragraph U-18 have been met. It is not necessary for the ADO to acknowledge the sponsor's notification. (3) Filing of Sponsor Notification. The ADO must keep a copy of the sponsor's notification and any ADO acknowledgement in the grant file. (4) Installation Eligibility. The eligibility for the purchase and/or installation of this equipment is contained in Paragraph 3-93. (5) Not Force Account. The ADO must not consider this situation as equivalent to sponsor force account or donated materials. (6) Cannot be Used for Sponsor's Share. Sponsors are prohibited from using the costs of sponsor-preferred airfield lighting equipment as part of the sponsor's share of a grant. (7) Limited to Airfield Lighting Equipment. By FAA policy, the use of AIP for certain costs associated with the use of non-AIP funded sponsor furnished equipment is limited to a sponsor's preferred airfield lighting manufacturer's equipment.

Table 3-25 Procurement Rules for Limited Noncompetitive Proposal Situations

For the following limited noncompetitive situation...	The following applies...
d. Certified Airfield Light Emitting Diode (LED) Lighting Equipment that is Prohibited from AIP Funding	(1) Prohibited Equipment. The list of LED lighting that is prohibited from AIP funding is included in Paragraph C-2. (2) ADO Review of Sponsor Notification. The ADO must review the sponsor notification to verify separation of prohibited LED lighting procurement from AIP funded procurement per Paragraph U-7. It is not necessary for the ADO to acknowledge the sponsor's notification. (3) Filing of Sponsor Notification. The ADO must keep a copy of the sponsor's notification and any ADO acknowledgement in the grant file. (4) ADO Review of Sponsor Procurement Documents. The ADO has the option to review the sponsor's procurement documents on AIP funded projects to validate that the sponsor has separated AIP funded procurement and prohibited LED lighting procurement. (5) Equipment and/or Installation Eligibility. The eligibility for the purchase and/or installation of this equipment is contained in Paragraph 3-93.

3-37. Change Orders, Supplemental Agreements, and Contract Modifications.

The requirements for change orders, supplemental agreements, and contract modifications are contained in Paragraph 5-35.

3-38. Contract Clauses and Contract Provisions Required for AIP Grants.

The sponsor requirements for AIP required contract clauses and provisions are contained in Appendix II of 2 CFR part 200 (as referenced in 2 CFR § 200.326) as well as other regulations and statutes (see Paragraph U-24). The ADO responsibility is limited to making sure that new sponsors are aware of these requirements.

3-39. Contracts Containing Ineligible and/or Non-AIP Funded Work (Including Proration).

The sponsor requirements for contracts containing ineligible and/or non-AIP funded work (including how to determine the low bidder) are contained in Paragraph U-12. Table 3-26 contains the ADO specific review requirements.

Table 3-26 ADO Review Requirements for Contracts Containing Ineligible or Non-AIP Funded Work

For...	The following applies...
a. Contracts Containing Ineligible Work or Work not Funded with AIP	It is FAA policy that a sponsor must not combine ineligible work and/or non-AIP funded work within the same contract unless the sponsor provides a compelling reason documenting that it is in the Federal government's best interest to the ADO and the ADO has concurred with the sponsor's request in writing. Examples of situations that may be in the best interest of the Federal government are included in Table 3-27. The FAA does not consider the fact that including ineligible or non-AIP funded work is at <i>no additional cost to the Federal government</i> to be a benefit to the Federal government.
b. ADO Concurrence	In order to concur with the sponsor's request, the ADO must determine that including the work is in the best interest of the Federal government, and that this will not result in an increase to the cost of the AIP funded work and that the cost of ineligible and/or non-AIP funded work can be easily identified. This is because 2 CFR § 200.302(a) requires that the ADO know what was paid for under the grant. The ADO must put a copy of their determination in the grant file. If the field of potential bidders will be reduced by the inclusion of the ineligible or non-AIP funded work, this may reduce competition and affect the cost. Therefore, the ADO cannot conclusively determine that there will be no increase in cost. Paragraph 3-40 includes examples of where potential bidders may be reduced.
c. ADO Determination of Federal Participation	The ineligible and/or non-AIP funded work must be clearly separated from the AIP funded work. This is the preferred method for the ADO to determine Federal participation. If the ADO determines the ineligible and/or non-AIP funded cannot be feasibly separated from the AIP funded work, the ADO can prorate the work to determine Federal participation. Example of Prorating: A project will extend an off-airport drainage box culvert through the airport. This box culvert will also serve the neighborhood adjacent to the airport. The airfield runoff is 25 acres and the neighborhood runoff is 75 acres. The eligible Federal participation would be one fourth (25 acres divided by 100 acres) of the total cost to extend the culvert through the airport (including associated design, inspection, etc.).

Table 3-27 Examples of Being in the Federal Government's Best Interest

Examples include...	
a.	The inclusion of ineligible and or non-AIP work will result in an overall reduction in the amount of construction workers and vehicles on the airfield. This is of benefit to the FAA because it reduces the potential risk of runway incursions.
b.	The inclusion of ineligible and or non-AIP work will result in the runway being closed for construction for a significantly shorter period of time. This is of benefit to the FAA because it maintains system capacity.
c.	The inclusion of a significant amount of non-AIP pavement will reduce the overall unit cost of the pavement, thus reducing the AIP project costs.
d.	The inclusion of the ineligible portion of a hydrant fueling system in an AIP funded apron project that includes hydrant fueling pits will allow a functioning fueling system to be completed.

3-40. Contracts Containing Requirements that May Reduce the Number of Potential Bidders.

Per 2 CFR § 200.319, sponsor solicitations of AIP funded projects must not unduly restrict competition. It is FAA policy that a sponsor must not include requirements that reduce the number of potential bidders unless the sponsor must provide a compelling reason to the ADO and the ADO has concurred with the sponsor's request in writing. Table 3-28 contains examples where the number of potential bidders may be reduced.

Table 3-28 Examples Where the Number of Potential Bidders May be Reduced

Examples include...	
a.	A project that has a warranty requirement to store spare parts in a manufacturer's warehouse within 15 miles of the airport that has been in operation for at least one year.
b.	A project specifying highway compliant snow removal equipment.
c.	An ARFF vehicle that is required to be equipped with specialized extraction equipment that is only available as standard equipment on one manufacturer's vehicles.
d.	A requirement for equipment to support remote maintenance monitoring.

3-41. Contracts Containing Work that Exceeds FAA Standards.

It is FAA policy that a sponsor must not include work that exceeds FAA standards in a contract unless the sponsor provides a compelling reason to the ADO and the ADO has concurred with

the sponsor's request in writing. The requirements for ADO concurrence (as well as the associated funding rules) are contained in Paragraph 3-24.

3-42. Consultant Contracts (Qualifications Based with Negotiated Price).

The sponsor requirements for competitive proposals (which includes consultant contracts) are contained in 2 CFR § 200.320(d) (see Paragraph U-16). The current version of Advisory Circular 150/5100-14, Architectural, Engineering, and Planning Consultant Services for Airport Grant Projects, provides sponsor requirements for consulting contracts, including the unique contract methods listed in Table 3-29.

The ADO review of procurement of these types of proposals is optional if the sponsor has submitted the associated sponsor certification.

However, if the sponsor is proposing to deviate from the sponsor procurement requirements per the above advisory circular, the ADO must not issue the associated grant unless the ADO has reviewed the contract and concurs with the deviations. The ADO has the option to document their concurrence either by notifying the sponsor in writing (with a copy to the grant file) or issuing the grant.

Table 3-29 Unique Consultant Contract Methods

Some unique contract methods include...	
a.	Retainers
b.	Cost-plus-a-fixed-fee
c.	Cost-plus-a-percentage-of-cost (note that is prohibited by 2 CFR § 200.323(d) and must not be used)
d.	Indefinite delivery (also called task orders and work authorizations)

3-43. Design-Build and Construction Manager-at-Risk Contracts.

The sponsor procurement requirements for these types of competitive proposals are contained in Paragraph U-16.

Mandatory ADO pre-review and concurrence with the sponsor's use of design-build proposal for AIP funded projects is based on requirements found in 49 USC § 47142(a)(2). ADO pre-review and concurrence is also required by FAA policy for any AIP-funded project where construction manager at risk or other competitive proposal methods that involve selection based on factors other than price are proposed.

In order for the ADO to concur with the proposal, the ADO must be satisfied that the requirements of 2 CFR § 200.320(d) have been met (see Paragraph U-16) prior to the sponsor awarding the contract.

The ADO documents their concurrence by issuing the grant.

3-44. Engineering Materials Arrestor System (EMAS).

Prior to April 2012, there was only one manufacturer whose product met the requirements of the current version of Advisory Circular 150/5220-22, Engineered Materials Arresting Systems (EMAS) for Aircraft Overruns. As of the date of Change 1 of this Handbook, two manufacturers meet these requirements. Therefore, the sponsor must currently procure the EMAS project under the competitive proposal procurement method per 2 CFR § 200.320(d) as discussed in Paragraph U-16. If only one manufacturer responds to the Request for Information (RFI), then the sponsor may proceed with noncompetitive procurement per 2 CFR § 200.320(f).

The competitive proposal procurement process for EMAS is outlined in Table 3-30. The ADO has the option to contact AAS-100 or APP-500 for assistance.

For existing EMAS, if the Sponsor and ADO concur that an existing bed must be replaced, then the procurement requirements for new EMAS installation apply. The sponsor must follow the competitive procurement process to select the vendor.

If the ADO determines that a bed must be retrofitted, the sponsor must determine whether the bed can only be modified or retrofitted by the original vendor, and whether the cost benefit of replacing the bed outweighs the cost benefit of retrofit.

Table 3-30 Typical Steps for an RSA Project with EMAS

An RSA project with EMAS will typically follow the following steps...	
a.	Frequently, the EMAS installation is only a part of a larger Runway Safety Area (RSA) project. Therefore, the EMAS design is incorporated into the overall project. The EMAS Request for Proposal (RFP) will require that the selected EMAS vendor work with the overall RSA design consultant to incorporate the specific features of the selected EMAS into the overall RSA project.
b.	The sponsor conceptually considers EMAS during the planning and environmental phase of the RSA project, and selects a RSA design consultant (RSA designer).
c.	The sponsor and RSA designer identify the requirement for EMAS. The requirements will include the proposed RSA limits, the limits of the EMAS footprint, any navigational aids within the RSA and nearby, and any unique surrounding elements that may be adversely affected by the size of the EMAS bed exceeding a certain height, length or width.
d.	The sponsor issues a Request for Information (RFI) to obtain conceptual designs from EMAS vendors. The RFI is issued solely for informational purposes and is not a solicitation. Similarly, responses to RFI's are not offers from the EMAS vendors.
e.	The sponsor prepares the preliminary design and a Request for Proposal (RFP) that is used to select the EMAS vendor.
f.	The sponsor coordinates the RFP package with the ADO.

Table 3-30 Typical Steps for an RSA Project with EMAS

An RSA project with EMAS will typically follow the following steps...	
g.	After receiving ADO concurrence with the RFP package, sponsor completes the RFP process, and selects an EMAS vendor.
h.	Prior to the sponsor's final selection and award, the ADO has the option to review the sponsor's evaluation and rating.
i.	The sponsor, RSA designer, general contractor and EMAS vendor complete the RSA design and construction.

3-45. Bid Alternates (Including Life Cycle Cost Analysis Alternates) and Bid Additives.

The sponsor requirements for contracts containing bid alternates (including the use of life cycle cost analysis) and additives are contained in Paragraph U-15. The ADO has the option to request and review the bid package to ensure that the sponsor has correctly established how the award will be made within the bid package (commonly referred to as the basis for award). Otherwise, the ADO has the option to accept sponsor certification.

The ADO has the option to document their determination either by notifying the sponsor in writing (with a copy to the grant file) or issuing the grant.

3-46. Bidding Asphalt and Concrete Alternates.

Bidding of both asphalt and concrete options is an example of the use of bid alternates, therefore, the requirements in Paragraph 3-45 apply.

A sponsor has the option to design and bid both asphalt and concrete alternatives for a project. However, only one design is normally allowable (the selected option). Design costs of the non-selected option are limited to the lesser of 1) the difference in the bid schedule amounts between the selected and non-selected low bidders and 2) the non-selected option design costs. The design contract must clearly delineate the design costs of the two alternatives.

If the life cycle cost analysis and selection of the pavement structure is conducted at the conceptual 30 percent design stage, the above funding restrictions on the design do not apply.

3-47. Buy American Requirements.

The Buy American Preferences under 49 USC § 50101 require that all steel and manufactured goods used in AIP funded projects are produced in the United States. Detailed sponsor and ADO requirements are included in Appendix X.

3-48. DOT Office of Inspector General (OIG) Notification of Potential Procurement/Bid Improprieties.

The ADO must contact the OIG through the DOT OIG hotline (see Appendix B for link) if they suspect any of the activities listed in Table 3-31 on an AIP project. As of January 2015, the ADO is no longer required to notify OIG in every instance where there are insufficient bidders, only where the ADO suspects inappropriate activity.

Insufficient bidders were previously defined as either a) five or fewer bidders on a construction project where the low bid was greater than the engineer's estimate and the bid was \$500,000 or more or b) there was only a single bidder on a construction contract and the bid was \$250,000 or more. This former notification requirement had been implemented based on a 1983 OIG finding and a subsequent meeting between the OIG and the FAA Office of Airports. The 1983 values were adjusted for inflation by the FAA.

The ADO can find more discussion on contract fraud in a paper called Suggestions for the Detection and Prevention of Construction Contract Bid Rigging (see Appendix B for link).

Table 3-31 Circumstances Requiring OIG Notification

ADO must contact the OIG if they suspect any of the following on an AIP project...	
a.	Contract and Grant Fraud
b.	Environmental, Health, and Safety Violations
c.	Computer Crimes
d.	Product Substitution and Suspect/Counterfeit Parts
e.	Bribery, Kickbacks, and Gratuities
f.	False Statements and False Claims
g.	Conflicts of Interest and Ethics Violations
h.	Travel Fraud
i.	Theft or Abuse of Government Property
j.	Violation(s) of Criminal Law and/or the Civil False Claims Act in Connection with a Federal Contract
k.	Other Violations of Federal Laws and Regulations

The above requirement was originally implemented based on a 1983 OIG finding and a subsequent meeting between the OIG and the FAA Office of Airports (the 1983 values have been adjusted for inflation by the FAA). The ADO can find definitions and more discussion on

bid rigging, collusion, and unbalanced bidding in a paper called Suggestions for the Detection and Prevention of Construction Contract Bid Rigging (see Appendix B for link).

3-49. Escalator Clauses.

Per FAA policy, the FAA will not fund any costs in a contract that are subject to an escalator clause unless specifically approved by APP-1. Generally, APP-1 has not approved AIP funding for escalator clauses because AIP project grant amendments are limited by 49 USC § 47108(b)(3) and because the construction projects are usually of short duration.

Per FAA policy, sponsors must send their request to the ADO and obtain written APP-1 approval before awarding contracts containing an escalator clause (see Paragraph U-21).

If APP-1 does not approve the sponsor's request, the ADO has the option of allowing the sponsor to keep the escalator clause in the contract as a non-AIP funded work item provided that the requirements in Paragraph 3-39 are met.

The ADO must provide a copy of the written determination to the sponsor and place a copy in the grant file.

3-50. Plans and Specifications Review.

Per 2 CFR § 200.324(a), the ADO has the option to review the sponsor's technical specifications (including plans and specifications, engineer's report, and any other items within the procurement package) at any time during the process. However, the FAA policy on ADO review is discussed further in Paragraph 3-28.

3-51. Pre-award Review of Contracts.

2 CFR § 200.324(b) gives the ADO the option to conduct a pre-award review for the situations contained in Table 3-32. Otherwise, the ADO has the option to accept sponsor certification.

It is FAA policy that sponsors notify the ADO when any of these situations exist. If the ADO conducts the review, the ADO has the option to provide the sponsor with a written response containing the ADO finding. If the ADO provides a written response, the ADO must file a copy of the response in the grant file.

Table 3-32 Situations Where the ADO has the Option to Conduct a Pre-Award Review

Situations include...
a. A sponsor's procurement procedures or operation fails to comply with the procurement standards in 2 CFR §§ 200.317-200.326.
b. The procurement is expected to exceed the simplified acquisition threshold (provided in Table U-7) and is to be awarded without competition, or only one bid or offer is received in response to a solicitation.

Table 3-32 Situations Where the ADO has the Option to Conduct a Pre-Award Review

Situations include...
c. The procurement, which is expected to exceed the simplified acquisition threshold (provided in Table U-7), specifies a <i>brand name</i> product.
d. The proposed award is more than the simplified acquisition threshold (provided in Table U-7) and is to be awarded to other than the apparent low bidder under a sealed bid procurement.
e. A proposed contract modification changes the scope of a contract or increases the contract amount by more than the simplified acquisition threshold (provided in Table U-7). Note that although the ADO is not required to conduct a pre-award review, the ADO must conduct a review prior to the grant being amended or closed as discussed in Paragraph 5-35.

3-52. Sponsor's Procurement System.

Per 2 CFR § 200.324(c) (see Paragraph U-22), the ADO must review a sponsor's procurement system unless the sponsor has submitted a sponsor certification that the system meets the requirements of 2 CFR §§ 200.317-200.326.

If the ADO must conduct a review, the ADO has the option to provide the sponsor with a written response containing the ADO findings and/or keep a copy available for future reference.

3-53. Force Account Work.

Sponsor force account work is planning, engineering, or construction work done by the sponsor's employees. Unlike other such work, it is done without the benefit of a construction or consultant contract obtained through the normal procurement process rules in 2 CFR §§ 200.317-200.326. Force account work is allowable per 2 CFR part 200 Subpart E (OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments).

Per FAA policy, in order for the sponsor to use force account work, the sponsor must request the use of force account work in writing and the ADO must have approved the request *in advance of the grant offer*. In addition, it is in the best interest of the sponsor to obtain ADO approval *prior to the sponsor starting the work* to ensure that the work is allowable. The sponsor's written request must meet the requirements in Table 3-33.

Per FAA policy, the sponsor must provide the ADO with detailed documentation of all force account costs incurred as outlined in Table 3-34. In addition, the sponsor must follow the additional requirements in Table 3-35. The ADO must provide a copy of the written determination to the sponsor and place a copy in the grant file.

The ADO must not approve the use of force account for environmental work if the FAA is responsible for performing or procuring the work per the current version of FAA Order 5050.4, National Environmental Policy Act (NEPA) Implementing Instructions for Airport Projects.

Table 3-33 Sponsor Force Account Submittal Requirements

Sponsors must include the following in their written request...	
a. Project Scope.	The sponsor must provide adequate details showing the nature and extent of the work to be performed using force account.
b. Justification.	The sponsor must provide justification for doing the work by force account rather than by contract. The sponsor must clearly show that the benefits, including benefits to the Federal government, of using force account override the Federal policy of competitive bidding or negotiated contracts.
c. Personnel Qualifications.	The sponsor must provide information on the ability of their personnel to perform the force account work.
d. Detailed Cost Estimate.	The sponsor must provide estimate of costs, including wage rates, non-salary expenses, indirect costs, and comparison of costs between the sponsor's force account and normal procurement methods.
e. Sponsor's Resources.	The sponsor must provide information on sponsor's resources (labor, material, equipment, and financing) and workload as they affect capacity to do the work, date by which the work will be complete, or dates within which the work will take place. Enough funds must be available to the sponsor to carry payrolls and any necessary purchases of materials and rental equipment.
f. Cost Analysis.	The sponsor must prepare a cost analysis per 2 CFR § 200.323 (see Paragraph U-21) and submit a copy to the ADO. The cost analysis can be used by the ADO to determine if the costs are reasonable.

Table 3-34 Sponsor Force Account Documentation Requirements

Sponsors must document actual costs as follows...	
a. Personnel.	Because sponsor employees often work on multiple projects, or on activities outside the project in the AIP grant, sponsors must submit timesheets (or a suitable report from an automated payroll accounting system) to the ADO to support these salaries and wages. A sponsor must base their charges upon actual payroll information documented under their agency's generally accepted practice. This payroll information must be reviewed and approved by the sponsor's responsible official. The timesheets must properly document all of the hours worked by the employees, regardless if they were on the AIP project or not. These above requirements are discussed in more detail in 2 CFR § 200.430 (Attachment B, Paragraph 8, of OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments). The expense must be directly related to the AIP project. Arbitrary or prorated costs are not allowable.
b. Equipment.	Equipment rental rates applicable to the construction on force account development vary widely. It is recommended that sponsors use the U.S. Army Corps of Engineers Construction Equipment Ownership and Operating Expense Schedule (EP-1110-1-8) to determine the equipment rates. The purchase price of equipment bought by the sponsor for use on a force account project is <i>not</i> allowable, only this calculated rental and operating rate.

Table 3-34 Sponsor Force Account Documentation Requirements

Sponsors must document actual costs as follows...	
c. Supplies and Material.	All supplies and materials must follow the procurement requirements in 2 CFR §§ 200.317-200.326 (see Appendix U) and the sponsor must keep records to document these costs.

Table 3-35 Other Sponsor Force Account Requirements

Other requirements include...	
a. Reporting.	Construction and project reporting requirements are the same as those under a traditional contract
b. FAA Standards.	Force account work must meet the same engineering and construction standards that are required under a traditional contract.
c. Labor Standards.	Cost of labor and supervision must be in accordance with state and local standards.
d. Insurance.	It is the sponsor's responsibility to comply with state and local insurance requirements.
e. Project Changes.	The sponsor must obtain prior ADO approval to change the scope of the force account work. Sponsors must make these requests in writing.

3-54. Value Engineering.

Value engineering is the systematic application of recognized techniques that identify the function of a project or service and provide the best function reliably at lowest overall cost.

2 CFR § 200.318(g) encourages sponsors to use value engineering. The sponsor requirements for value engineering are contained in Paragraph U-10, which, by FAA policy, is required for new primary airports. In addition, ADOs have the option to require sponsors to use value engineering for unusually complex projects of greater than average costs (or require cost-benefit studies, present worth analysis, the study of alternatives, tactical planning, or other forms of technical evaluation).

The ADO must have concurred in writing with the use and scope of services for the value engineering prior to the work commencing. The ADO must place a copy of the concurrence in the grant file.

ADO's are cautioned that significant advance preparation may be needed to comply with the current version of Advisory Circular 150/5300-15, Use of Value Engineering for Engineering and Design of Airport Grant Projects.

3-55. Indefinite Delivery (Task Orders) Extensions for *Construction Services*.

Per FAA policy, a sponsor may not extend a task order contract for construction services beyond a one-year duration (without re-advertising the contract) unless the ADO concurs with this action. This is because AIP funded construction must be based on current Davis-Bacon wage rates, which are updated at least on a yearly basis.

For the ADO to concur with the extension, the sponsor must provide compelling justification and the ADO must be able to agree that the economic conditions and wage rates and project costs have remained unchanged. Per FAA policy, the ADO must not concur with more than four extensions to the same task orders.

3-56. Indefinite Delivery (Task Orders) Extensions for *Consultant Services*.

The sponsor must define the proposed projects, services, and estimated schedule as part of the procurement process. The sponsor must limit the procurement to those projects and services that can reasonably be started within five years of the final procurement selection. Per FAA policy, a sponsor may not extend a task order contract for consultant services beyond a total overall contract duration (without re-advertising the contract) of more than five years. This time limitation has been established so that competition is not unduly restricted. Unless otherwise approved in writing by the ADO, the sponsor must not add additional projects or services to the contract.

3-57. Suspension or Debarment of Persons or Companies.

Suspension and debarment are actions that a Federal agency takes to prohibit certain person or company from bidding on projects, receiving contracts or grants, or participating in federally funded contracts or grants. If a person or company is suspended or debarred by a Federal agency, the suspension or debarment extends to all Federal programs and procurement.

Suspension and debarment applies to contractors and subcontractors at any level, including suppliers, fee appraisers, inspectors, real estate agents, consultants, architects, engineers, and attorneys. It also applies to any others that are associated with the suspended or debarred person or company.

Additional information on suspension and debarment is available on the FHWA Construction Program Guide/Suspension and Debarment and the current version of DOT Order 4200.5, Suspension and Debarment, and Ineligibly Procedures. These are based on 2 CFR part 180 and 2 CFR part 1200. Note APP-500 is the Suspension and Debarment Official for AIP.

Paragraph U-5 contains the requirements sponsors must follow regarding persons or companies that have been excluded from working on AIP funded projects. Table 3-36 contains the ADO requirements.

Appendix U. Sponsor Procurement Requirements (Including 2 CFR §§ 200.317-200.326 (formerly 49 CFR § 18.36))

U-1. Appendix Layout.

This appendix contains 2 CFR §§ 200.317-200.326 in its entirety, with clarifications. As discussed in detail in Paragraph 1-7, this regulation replaced 49 CFR § 18.36 on December 19, 2014.

The remaining paragraphs in this Appendix contain additional sponsor contracting and miscellaneous procurement issues not directly addressed in CFR §§ 200.317-200.326.

Section 10 of Chapter 3 contains ADO procurement responsibilities.

U-2. Sponsor Force Account Costs.

Procurement is obtaining services from commercial sources, therefore, sponsor force account work does not fall under the procurement rules of 2 CFR §§ 200.317-200.326. The rules for sponsor force account work are contained in Paragraph 3-53.

U-3. Sponsor Furnished Material or Supplies.

If a sponsor wishes to provide materials or supplies within an AIP funded project, the sponsor must obtain prior written approval from the ADO. The sponsor must provide a written statement to the ADO indicating whether the material or supplies have been procured per 2 CFR §§ 200.317-200.326 and meet all applicable Federal contract provisions, which can be found on the FAA Office of Airports website (see Appendix B for link). The ADO also has the option to request that the sponsor submit additional documentation to support this statement.

The requirements for the ADO to concur with the use of sponsor furnished materials or supplies are contained in Paragraph 3-36.

U-4. Buy American Requirements.

The Buy American Preferences under 49 USC § 50101 require that all steel and manufactured goods used in AIP funded projects are produced in the United States. Detailed sponsor and ADO requirements are included in Appendix X.

U-5. Suspension or Debarment of Persons or Companies.

Table U-1 contains the requirements sponsors must follow regarding persons or companies that have been excluded from working on AIP funded projects.

Additional information on suspension and debarment is available on the FHWA Construction Program Guide/Suspension and Debarment and the current version of DOT Order 4200.5, Suspension and Debarment, and Ineligibility Procedures.

Table U-1 Sponsor Requirements Regarding Suspension or Debarment

For the following...	The sponsor requirements include...
a. The sponsor is awarding a contract.	2 CFR part 180, OMB Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement) prohibits a sponsor from entering into a new contract with a person or company that is suspended or debarred. A sponsor must check the System for Award Management (SAM) website (see Appendix B for link) for every procurement to ensure that no suspended or debarred firms or individuals bid on, or are part of an AIP contract.
b. A person or company currently working on an AIP project is suspended or debarred.	If the Federal government suspends or debars a person or company while the person or company is working on an AIP funded project, the sponsor must follow the procedures in 2 CFR part 180 (Subpart C) OMB Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement), and 2 CFR part 1200, Nonprocurement Suspension and Debarment.
c. It appears that a person or company might need to be suspended or debarred.	If the sponsor becomes aware of this situation, the sponsor must pursue their own contractual remedies and has the option to contact the ADO with this information.
d. The sponsor has suspended or debarred a person or company.	Per the current version of DOT Order 4200.5, Suspension and Debarment Procedures and Ineligibility, the sponsor must notify the ADO.

U-6. Terminology Used in Industry

Industry terminology is evolving and may differ from the terminology contained in 2 CFR §§ 200.317-200.326. This is especially true in 2 CFR § 200.320(d) for competitive proposals. Sponsors are cautioned that the many project delivery methods, regardless of the terminology, must still conform to the basic requirements within this regulation.

U-7. Prohibited Light Emitting Diode (LED) Lighting.

The list of LED lighting that is prohibited from AIP funding is included in Paragraph C-2.

The sponsor must separately procure the prohibited LED lighting equipment from any associated AIP funded project. However, the sponsor may include the installation in the contract of the associated AIP funded project. The eligibility for the purchase and installation of this equipment is contained in Paragraph 3-93.

Sponsors must notify the ADO when the sponsor is proposing to procure prohibited LED lighting concurrently with an associated AIP funded project and confirm that the procurement of the lighting equipment will be separate from the associated AIP funded project. The ADO has the option to review the sponsor's procurement documents to ensure that the sponsor has separated AIP funded procurement and prohibited LED lighting equipment procurement.

U-8. Why 2 CFR §§ 200.317-200.326 is Reproduced in This Appendix.

2 CFR §§ 200.317-200.326 is a critical companion document to the Handbook, and sponsors and ADOs should refer to its contents frequently. Therefore, this regulation has been included below in its entirety. In addition, clarifications have been added under the sections as appropriate.

U-9. 2 CFR § 200.317 - Procurements by States.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.317 Procurements by states.

When procuring property and services under a Federal award, a state must follow the same policies and procedures it uses for procurements from its non-Federal funds. The state will comply with § 200.322 Procurement of recovered materials and ensure that every purchase order or other contract includes any clauses required by section § 200.326 Contract provisions. All other non-Federal entities, including subrecipients of a state, will follow §§ 200.318 General procurement standards through 200.326 Contract provisions.

Table U-2 AIP Handbook Clarification of 2 CFR § 200.317 - Procurements by States

Clarifications include...
(1) Difference Between State Procurement Standards and State Design, Planning, or Construction Standards. State procurement standards are not the same thing as the state planning, design, or construction standards discussed in Paragraph 3-26.
(2) Buying off a State Schedule. A sponsor is <i>not</i> allowed to purchase off a state schedule unless the state procurement includes <i>all</i> of the required causes in 2 CFR § 200.317.
(3) Subrecipient of States. Per 2 CFR § 1201.317, the DOT has provided the following exception: (a) Notwithstanding 2 CFR § 200.317, subrecipient of states must follow such policies and procedures allowed by the State when procuring property and services under a Federal award.

U-10. 2 CFR § 200.318 - General Procurement Standards.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.318 General procurement standards.

(a) The non-Federal entity must use its own documented procurement procedures which reflect applicable State and local laws and regulations, provided that the procurements conform to applicable Federal law and the standards identified in this section.

(b) Non-Federal entities must maintain oversight to ensure that contractors perform in accordance with the terms, conditions, and specifications of their contracts or purchase orders.

(c)

(1) The non-Federal entity must maintain written standards of conduct covering conflicts of interest and governing the performance of its employees engaged in the selection, award and administration of contracts. No employee, officer, or agent must participate in the selection, award, or administration of a contract supported by a Federal award if he or she has a real or apparent conflict of interest. Such a conflict of interest would arise when the employee, officer, or agent, any member of his or her immediate family, his or her partner, or an organization which employs or is about to employ any of the parties indicated herein, has a financial or other interest in or a tangible personal benefit from a firm considered for a contract. The officers, employees, and agents of the non-Federal entity must neither solicit nor accept gratuities, favors, or anything of monetary value from contractors or parties to subcontracts. However, non-Federal entities may set standards for situations in which the financial interest is not substantial or the gift is an unsolicited item of nominal value. The standards of conduct must provide for disciplinary actions to be applied for violations of such standards by officers, employees, or agents of the non-Federal entity.

(2) If the non-Federal entity has a parent, affiliate, or subsidiary organization that is not a state, local government, or Indian tribe, the non-Federal entity must also maintain written standards of conduct covering organizational conflicts of interest. Organizational conflicts of interest means that because of relationships with a parent company, affiliate, or subsidiary organization, the non-Federal entity is unable or appears to be unable to be impartial in conducting a procurement action involving a related organization.

(d) The non-Federal entity's procedures must avoid acquisition of unnecessary or duplicative items. Consideration should be given to consolidating or breaking out procurements to obtain a more economical purchase. Where appropriate, an analysis will be made of lease versus purchase alternatives, and any other appropriate analysis to determine the most economical approach.

(e) To foster greater economy and efficiency, and in accordance with efforts to promote cost-effective use of shared services across the Federal government, the non-Federal entity is encouraged to enter into state and local intergovernmental agreements or inter-entity agreements where appropriate for procurement or use of common or shared goods and services.

(f) The non-Federal entity is encouraged to use Federal excess and surplus property in lieu of purchasing new equipment and property whenever such use is feasible and reduces project costs.

(g) The non-Federal entity is encouraged to use value engineering clauses in contracts for construction projects of sufficient size to offer reasonable opportunities for cost reductions.

Value engineering is a systematic and creative analysis of each contract item or task to ensure that its essential function is provided at the overall lower cost.

(h) The non-Federal entity must award contracts only to responsible contractors possessing the ability to perform successfully under the terms and conditions of a proposed procurement. Consideration will be given to such matters as contractor integrity, compliance with public policy, record of past performance, and financial and technical resources.

(i) The non-Federal entity must maintain records sufficient to detail the history of procurement. These records will include, but are not necessarily limited to the following: rationale for the method of procurement, selection of contract type, contractor selection or rejection, and the basis for the contract price.

(j)

(1) The non-Federal entity may use time and material type contracts only after a determination that no other contract is suitable and if the contract includes a ceiling price that the contractor exceeds at its own risk. Time and material type contract means a contract whose cost to a non-Federal entity is the sum of:

(i) The actual cost of materials; and

(ii) Direct labor hours charged at fixed hourly rates that reflect wages, general and administrative expenses, and profit.

(2) Since this formula generates an open-ended contract price, a time-and-materials contract provides no positive profit incentive to the contractor for cost control or labor efficiency. Therefore, each contract must set a ceiling price that the contractor exceeds at its own risk. Further, the non-Federal entity awarding such a contract must assert a high degree of oversight in order to obtain reasonable assurance that the contractor is using efficient methods and effective cost controls.

(k) The non-Federal entity alone must be responsible, in accordance with good administrative practice and sound business judgment, for the settlement of all contractual and administrative issues arising out of procurements. These issues include, but are not limited to, source evaluation, protests, disputes, and claims. These standards do not relieve the non-Federal entity of any contractual responsibilities under its contracts. The Federal awarding agency will not substitute its judgment for that of the non-Federal entity unless the matter is primarily a Federal concern. Violations of law will be referred to the local, state, or Federal authority having proper jurisdiction.

Table U-3 AIP Handbook Clarification of 2 CFR § 200.318 - General Procurement Standards

Clarifications include...
(1) Required Notification to ADO. Sponsors are responsible for complying with 2 CFR §§ 200.317-200.326. If the sponsor's procurement procedures or operations fail to comply with 2 CFR §§ 200.317-200.326, the sponsor must notify the ADO in writing.
(2) Intergovernmental Agreement. An example where an intergovernmental agreement may be appropriate is where several small airports would like to purchase an AWOS-A for each of the airports. Another example is where a state aviation department enters into a task order contract for eligible pavement maintenance at multiple airports within the state.
(3) Time and Materials Contract. The time and materials contract discussed under 2 CFR § 200.318(j) is only used in the rare instance that no other contract method is suitable.
(4) Suitable Contract. The sponsor is the entity that determines contract suitability under 2 CFR § 200.318(j)(1).
(5) Fixed Hourly Rate. Under 2 CFR § 200.318(j), the hourly rate is fixed for the duration of the contract and cannot be changed when salaries increase.
(6) Value Engineering. Per FAA policy, sponsors are required to use value engineering for new primary airports. In addition, ADOs have the option to require sponsors to use value engineering for unusually complex projects of greater than average costs (or require cost-benefit studies, present worth analysis, the study of alternatives, tactical planning, or other forms of technical evaluation). Value engineering must follow the requirements of the current version of Advisory Circular 150/5300-15, Use of Value Engineering for Engineering and Design of Airport Grant Projects. In addition, the ADO must have concurred in writing on the scope of the value engineering contract prior to the work commencing. Sponsors are cautioned that significant advance preparation may be needed for value engineering.
(7) Sponsor Written Protest Procedures. Per FAA policy (formerly captured in 49 CFR § 18.36(b)(12)), the sponsor must have <i>written</i> protest procedures in place before initiating any procurement actions that will be funded with AIP. The protest procedures must define how the sponsor will handle and resolve disputes relating to their procurements and must disclose information regarding the protest to the ADO. A protestor must exhaust all administrative remedies with the sponsor before pursuing a protest with the ADO.
(8) Submittal of All Protests and Appeals to ADO. Per FAA policy, the sponsor must send a copy of the protest and the sponsor's written protest procedures to the ADO without delay. The sponsor must also send a copy of the resolution to the ADO. The ADO will not formally act on bid protests until the protester has exhausted all administrative remedies with the sponsor and the protester submits a formal appeal to the ADO. The ADO's role is limited to a review of 1) violations of Federal law and rules, and 2) violations of the sponsor's protest procedures.

Table U-3 AIP Handbook Clarification of 2 CFR § 200.318 - General Procurement Standards

Clarifications include...
(9) Defects in Bid Solicitation. Per FAA policy, if a protester formally disputes the procurement because the bid solicitation is allegedly defective, it is the responsibility of the protester to notify the sponsor in writing before the bid opening (or before a reasonable deadline set by the sponsor). This will allow the sponsor to correct the deficiency by amending the solicitation. Per FAA policy, if a protester disputes a defective solicitation after bid opening, the sponsor has the choice of rejecting the protest without action if state and/or local procurement rules allow. This is because a protester normally has enough time to protest before bid opening. If the sponsor uses a shortened bidding time (such as 10 days), the FAA recommends that the sponsor accept protests up to contract award. If the protester is not satisfied with the way that the sponsor has resolved the protest, the protester has the option to appeal to the ADO. The ADO acceptance of a Sponsor Certification or the ADO approval of the plans and specifications does not relieve the sponsor of their responsibility for the accuracy, completeness, or technical content of the plans and specifications.
(10) Improper Evaluation of Bids. While protests pertaining to defective solicitations are made prior to bid opening, protests regarding improper bid evaluations occur after bid opening. If the protester believes the sponsor has improperly awarded the project, it is the responsibility of the protester to notify the sponsor in writing of their protest. If the protester is not satisfied with the way that the sponsor has resolved the dispute, the protester has the option to appeal to the ADO.
(11) Switching Suppliers or Subcontractors. A <i>contractor</i> may switch suppliers or subcontractors as long as there is no change in the bid and the requirements of 49 CFR part 26 are met. There is no Federal requirement preventing a <i>contractor</i> from switching suppliers or subcontractors as long as there is no change in the bid. However, the <i>sponsor</i> must not influence the contractor's selection of subcontractors or suppliers. If the sponsor directs or influences a change in supplier or subcontractor, this would be a 2 CFR §§ 200.317-200.326 violation since the sponsor is interfering with the open and competitive market.
(12) Potential Funding Impacts. Failure of the sponsor to properly resolve a bid protest or an ADO identified violation may result in a loss of AIP funding.
(13) Submittal of Resolutions to the ADO. The sponsor must notify the ADO in writing how all bid protest and appeals were resolved.
(14) Restrictions on Payment Requests for Disputed Costs. If the project is already under grant, the sponsor must not request payments for the disputed costs.

U-11. 2 CFR § 200.319 - Competition.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.319 Competition.

(a) All procurement transactions must be conducted in a manner providing full and open competition consistent with the standards of this section. In order to ensure objective contractor performance and eliminate unfair competitive advantage, contractors that develop or draft specifications, requirements, statements of work, and invitations for bids or requests for

proposals must be excluded from competing for such procurements. Some of the situations considered to be restrictive of competition include but are not limited to:

- (1) Placing unreasonable requirements on firms in order for them to qualify to do business;*
- (2) Requiring unnecessary experience and excessive bonding;*
- (3) Noncompetitive pricing practices between firms or between affiliated companies;*
- (4) Noncompetitive contracts to consultants that are on retainer contracts;*
- (5) Organizational conflicts of interest;*
- (6) Specifying only a "brand name" product instead of allowing "an equal" product to be offered and describing the performance or other relevant requirements of the procurement; and*
- (7) Any arbitrary action in the procurement process.*

(b) The non-Federal entity must conduct procurements in a manner that prohibits the use of statutorily or administratively imposed state or local geographical preferences in the evaluation of bids or proposals, except in those cases where applicable Federal statutes expressly mandate or encourage geographic preference. Nothing in this section preempts state licensing laws. When contracting for architectural and engineering (A/E) services, geographic location may be a selection criterion provided its application leaves an appropriate number of qualified firms, given the nature and size of the project, to compete for the contract.

(c) The non-Federal entity must have written procedures for procurement transactions. These procedures must ensure that all solicitations:

- (1) Incorporate a clear and accurate description of the technical requirements for the material, product, or service to be procured. Such description must not, in competitive procurements, contain features which unduly restrict competition. The description may include a statement of the qualitative nature of the material, product or service to be procured and, when necessary, must set forth those minimum essential characteristics and standards to which it must conform if it is to satisfy its intended use. Detailed product specifications should be avoided if at all possible. When it is impractical or uneconomical to make a clear and accurate description of the technical requirements, a "brand name or equivalent" description may be used as a means to define the performance or other salient requirements of procurement. The specific features of the named brand which must be met by offers must be clearly stated; and*
- (2) Identify all requirements which the offerors must fulfill and all other factors to be used in evaluating bids or proposals.*

(d) The non-Federal entity must ensure that all prequalified lists of persons, firms, or products which are used in acquiring goods and services are current and include enough qualified

sources to ensure maximum open and free competition. Also, the non-Federal entity must not preclude potential bidders from qualifying during the solicitation period.

Table U-4 AIP Handbook Clarification of 2 CFR § 200.319 - Competition

Clarifications include...
(1) Unfair Competitive Advantage. Per 2 CFR § 200.319, contractors and consultants who develop or draft specifications, requirements, statements of work, invitations for bids, or requests for proposals on a project are not allowed to bid or submit a proposal on that project.
(2) Brand Name or Equal. If an existing FAA technical specification establishes all necessary performance requirements, the FAA considers the use of a brand name or equal to be a restriction on competition. A sponsor must not disqualify a material, product, or service for not having a characteristic that the brand name material, product, or service possesses if the characteristic was not explicitly identified in the technical requirements.
(3) Matching Existing Equipment. Sponsors often want to specify a particular company or brand of equipment so that the acquired equipment matches what is currently at the airport. The requirements for these situations are contained in Paragraph 3-36.
(4) Required Notification to ADO. If the specification requires a <i>brand name or equal</i> product, the sponsor must notify the ADO in writing prior to the award. A sponsor requiring that contractors obtain sponsor approval for a product <i>prior</i> to the award if the product is not a specified brand name or equal. This could unduly limit competition by placing additional burdens on the non-brand name product.
(5) Examples of situations that do <i>not</i> unduly limit competition. Some examples include: (a) A sponsor limiting the height of an ARFF vehicle based on the existing height of the ARFF building door. (b) A sponsor specifying sign face dimensions to fit in the existing sign units because the taxiways have been renamed as a result of an AIP funded project.
(6) Examples of situations that could unduly limit competition. Some examples include: (a) A sponsor specifying Company X or equal for an L-858R, Mandatory Instruction Sign. Since an existing FAA technical specification establishes all necessary performance requirements, it is unnecessary for the sponsor to specify an actual company and implies a sponsor preference. (b) A sponsor specifying that an ARFF truck windshield wiper must be mounted on the top center of the windshield. However, this is not a required feature for performance of the ARFF vehicle and is not a standard feature for ARFF trucks for all manufacturers. This places an unreasonable requirement that could unduly limit competition. (c) A sponsor including a requirement for personal attendance at a pre-bid meeting for a project. Contractors and suppliers may not need to attend a pre-bid meeting if they are already very familiar with the project site, or have another member of the bidding team attending the meeting. This places an unreasonable requirement that could unduly limit competition.

Table U-4 AIP Handbook Clarification of 2 CFR § 200.319 - Competition

Clarifications include...
(7) Geographical Preference. Some examples of geographical preference that unduly limit competition are: (a) A sponsor requiring a vendor to have local maintenance support within 50 miles or 40 minutes away from the airport. (b) A sponsor requiring that a percentage of employees reside in the city, county, or state boundaries. (c) A sponsor requiring that a percentage of the required materials be purchased from companies located in the city, county, or state boundaries.

U-12. 2 CFR § 200.320 - Methods of Procurement to be Followed.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.320 Methods of procurement to be followed.

The non-Federal entity must use one of the following methods of procurement.

Table U-5 AIP Handbook Clarification of 2 CFR § 200.320 - Methods of Procurement to be Followed

Clarifications include...
(1) Difference from Procurement of Professional Services. Sponsors must not confuse the small purchase procurement procedures with the requirements for procurement of professional services discussed in the current version of Advisory Circular 150/5100-14, Architectural, Engineering, and Planning Consultant Services for Airport Grant Projects. The procurement of professional services is not tied to the small purchase procedure threshold (\$150,000) noted above.
(2) Sponsor Documentation. Sponsors must adequately document all quotations in writing and make this available to the ADO upon request. It is FAA policy that adequate documentation for projects over \$10,000 includes a letter request from the sponsor and a written estimate from each qualified source. For projects \$10,000 or below, it is FAA policy that the sponsor has the option of obtaining the quotes verbally as long as the sponsor documents the results in writing.
(3) Submittal of Technical Specifications to ADO. Per 2 CFR § 200.324(a), sponsors must submit all technical specifications to the ADO upon the ADO's request. This may include the plans, the specifications, the engineer's report, and any other items that make up the procurement package.
(4) Calculation of \$150,000 and \$10,000. It is FAA policy that the <i>accepted</i> quote must come below \$150,000 for the sponsor to use the small procurement process. It is FAA policy that the <i>accepted</i> quote must come below \$10,000 for the sponsor to obtain quotes verbally.

Table U-5 AIP Handbook Clarification of 2 CFR § 200.320 - Methods of Procurement to be Followed

Clarifications include...
(5) Indefinite Quantity/Delivery (Task Orders for Construction and Equipment). This contracting method defines a minimum and maximum quantity that may be obtained at any time during the contract period through individual task orders. This contracting method is rarely used for AIP projects. In order to be used for an AIP project, the contract must include any clauses required by Federal statutes and Executive orders and their implementing regulations and must not exceed 12 months unless the contract contains provisions for updating Davis-Bacon requirements. In addition, it is FAA policy that the contract must not exceed five years.
(6) Proposals Containing Ineligible and/or non-AIP Funded Work. Per FAA policy, sponsors must obtain written ADO concurrence before including ineligible and/or non-AIP funded work within the same contract (see Paragraph 3-39). Per FAA policy, the sponsor must award to the lowest responsive and responsible bidder <i>on the AIP-funded portion of the contract</i> when the bid is separated by line items or bid schedules. The sponsor must award to the lowest responsive and responsible bidder <i>on the entire contract</i> when the bid will be prorated for Federal participation.
(7) Projects Exceeding Design Standards. Per FAA policy, sponsors must obtain written ADO concurrence before designing or bidding a project that will exceed FAA design standards (see Paragraph 3-24).
(8) Proposals Containing Improper Bid Alternates. Sponsors must not use the procurement process, such as including bid alternates, as a means of determining project costs. For example, a sponsor has justified the acquisition of a 1,500 gallon ARFF vehicle but plans to acquire a 3,000 gallon ARFF vehicle, paying the additional costs with local sources of funding. The sponsor is not allowed to bid both vehicles because the procurement process is based on an expectation that the sponsor intends to complete the procurement. In this case, the sponsor has no plan to acquire a 1,500 gallon ARFF vehicle and is simply using the procurement process as a cost estimating tool, which is not allowed.

U-13. 2 CFR § 200.320(a) - Procurement by Micro-Purchases.

The following italicized text is directly quoted from 2 CFR part 200.

(a) Procurement by micro-purchase is the acquisition of supplies or services, the aggregate dollar amount of which does not exceed \$3,000 (or \$2,000 in the case of acquisitions for construction subject to the Davis-Bacon Act). To the extent practicable, the non-Federal entity must distribute micro-purchases equitably among qualified suppliers. Micro-purchases may be awarded without soliciting competitive quotations if the non-Federal entity considers the price to be reasonable.

Table U-6 AIP Handbook Clarification of 2 CFR § 200.320(a) - Procurement by Micro-Purchases

Clarifications include...
(1) New Requirement. This requirement was not found in 49 CFR 18.36.
(2) Construction Supplies and Services. This is limited to \$2,000 under the micro-purchase procurement method.
(3) Non- Construction Supplies and Services. This is limited to \$3,000 under the micro-purchase procurement method.
(4) Abuse of Micro-Purchase Procurement Method. Sponsors must not split a single procurement action into multiple procurement actions in order to apply the micro –purchase procurement method..

U-14. 2 CFR § 200.320(b) - Procurement by Small Purchase Procedures.

The following italicized text is directly quoted from 2 CFR part 200.

(b) Procurement by small purchase procedures. Small purchase procedures are those relatively simple and informal procurement methods for securing services, supplies, or other property that do not cost more than the Simplified Acquisition Threshold. If small purchase procedures are used, price or rate quotations must be obtained from an adequate number of qualified sources.

Table U-7 AIP Handbook Clarification of 2 CFR § 200.320(b) - Procurement by Small Purchase Procedures

Clarifications include...
(1) Clarifications for all Procurement Methods. Additional clarifications that apply to all procurement methods, including small purchase procurement, are contained in Paragraph U-12.
(2) Adequate Number of Qualified Sources. The FAA considers an adequate number of qualified sources to be two or more for small purchase procedures (the same as for competitive bids under 2 CFR § 200.320(c)(1)(ii)). If the sponsor is only able to obtain a quotation from one qualified source, then the sponsor must then follow sole source requirements.
(3) Simplified Acquisition Threshold. The simplified acquisition threshold is set in 2 CFR § 200.88 at \$150,000. This was previously directly referenced in 49 CFR § 18.36(d)(1) as \$100,000.

U-15. 2 CFR § 200.320(c) - Procurement by Sealed Bids (Formal Advertising).

The following italicized text is directly quoted from 2 CFR part 200.

(c) Procurement by sealed bids (formal advertising). Bids are publicly solicited and a firm fixed price contract (lump sum or unit price) is awarded to the responsible bidder whose bid, conforming with all the material terms and conditions of the invitation for bids, is the lowest in price. The sealed bid method is the preferred method for procuring construction, if the conditions in paragraph (c)(1) of this section apply.

(1) In order for sealed bidding to be feasible, the following conditions should be present:

(i) A complete, adequate, and realistic specification or purchase description is available;

(ii) Two or more responsible bidders are willing and able to compete effectively for the business; and

(iii) The procurement lends itself to a firm fixed price contract and the selection of the successful bidder can be made principally on the basis of price.

(2) If sealed bids are used, the following requirements apply:

(i) The invitation for bids will be publicly advertised and bids must be solicited from an adequate number of known suppliers, providing them sufficient response time prior to the date set for opening the bids;

(ii) The invitation for bids, which will include any specifications and pertinent attachments, must define the items or services in order for the bidder to properly respond;

(iii) All bids will be publicly opened at the time and place prescribed in the invitation for bids;

(iv) A firm fixed price contract award will be made in writing to the lowest responsive and responsible bidder. Where specified in bidding documents, factors such as discounts, transportation cost, and life cycle costs must be considered in determining which bid is lowest. Payment discounts will only be used to determine the low bid when prior experience indicates that such discounts are usually taken advantage of; and

(v) Any or all bids may be rejected if there is a sound documented reason.

Table U-8 AIP Handbook Clarification of 2 CFR § 200.320(c) - Procurement by Sealed Bids (Formal Advertising)

Clarifications include...
(1) Clarifications for all Procurement Methods. Additional clarifications that apply to all procurement methods are contained in Paragraph U-12. These clarifications must be used in addition to the ones listed below.
(2) Required Notification to ADO. The sponsor must notify the ADO in writing prior to the award if the procurement is expected to exceed the simplified acquisition threshold (provided in Table U-7) and any of the following situations apply: (a) The award will be made without competition. (b) Only one bid is received. (c) The award will be made to other than the apparent low bidder.
(3) Submittal of Technical Specifications to ADO. Per 2 CFR § 200.324(a), sponsors must submit all technical specifications to the ADO upon the ADO's request. This may include the plans, the specifications, the engineer's report, and any other items that make up the procurement package.
(4) Items Needed for Bidder to Properly Respond. Bid documents must specify the method by which the successful bid will be determined, which may include factors such as life cycle costs, bid alternates, and availability of Federal funding.
(5) Responsive vs. Responsible. The terms responsive and responsible are often misunderstood. <i>Responsive</i> applies to the bid documents filed by a bidder and <i>responsible</i> applies to qualifications of the bidder. (a) Responsive. A responsive bid conforms to all significant terms and conditions contained in the sponsor's invitation for bid. It is the sponsor's responsibility to decide if the exceptions taken by a bidder to the solicitation are material or not and the extent of deviation it is willing to accept. (i) Material Deviations. It is FAA policy that sponsors may not waive material deviations. Material deviations include those that affect significant terms and conditions of the invitation for bids such as delivery time, quantity, technical specifications, price, or failure to send required bond and insurance information. (ii) Minor Deviations. It is FAA policy that sponsors may waive minor deviations. These might include a simple failure to enter an extended price on an item, when such extended price can be ascertained simply by multiplying the unit price by the number of units. (b) Responsible. A responsible bidder has the ability to perform successfully under the terms and conditions of a proposed procurement, as defined in 2 CFR § 200.318(h). This includes such matters as contractor integrity, compliance with public policy, record of past performance, and financial and technical resources.
(6) Apparent Low Bidder. The apparent low bidder is the bidder with the lowest dollar proposal, and does not reflect whether the sponsor has determined the bidder to be responsive or responsible.

Table U-8 AIP Handbook Clarification of 2 CFR § 200.320(c) - Procurement by Sealed Bids (Formal Advertising)

Clarifications include...
(7) Bid Alternates. A sponsor must not bid a project with alternates (additive or deductive) without establishing how an award will be made within the bid package (commonly referred to as the basis for award). Otherwise, Federal participation may be adversely affected because the bid documents could be considered unclear and the award arbitrary. (a) The solicitation must clearly establish the base bid and must define the order of bid alternate combinations based on the availability of funding. (b) Sponsors must not arbitrarily choose a bid alternate combination for an unallowable purpose such as choosing or eliminating a specific bidder. (c) Sponsors have the option of consulting with the ADO to validate that their use of bid alternates will meet grant requirements. (d) The FAA cautions sponsors against using an excessive amount of bid alternates because it may create ambiguities in the bid award. (e) Life cycle cost analyses is often used for as part of establishing the basis for award for bid alternatives. (f) If a sponsor is bidding both asphalt and concrete alternatives in a project, there are funding implications as discussed in Paragraph 3-46
(8) Life Cycle Cost Analysis (LCCA). The life cycle cost concept recognizes that although an item may have the lowest initial cost, it may be more expensive than another item when costs such as operation and maintenance are considered. Under the life cycle cost concept, any costs expected to be incurred for the item over its useful life (including acquisition, installation, operation, and maintenance) are considered. Cost data must be verifiable independently of a claim by the manufacturer or contractor. OMB Circular A-94, Guidelines and Discount Rates for Benefit-Cost Analysis of Federal Programs, requires elements of a life cycle cost analysis include the following: (a) The LCCA must explicitly state assumptions, benefit factors, and costs. (b) Sponsors must identify key data for independent analysis and review. (c) Sponsor must use real or constant dollars in their LCCA (omit the effects of inflation). (d) For AIP funded projects, the sponsor must use the 7% discount rate found in Paragraph 8b(1).of OMB Circular A-94, Guidelines and Discount Rates for Benefit-Cost Analysis of Federal Programs, instead of the real discount rate published annually in Appendix C of the same circular. The 7% rate is the rate that is prescribed by the Federal government for public investment, which is the standard by which AIP is judged. The 7% is based on historical long term trends and is not tied to current available rates. (e) The sponsor must not use a project life that exceeds 20 years. For options that have a service life that exceeds 20 years, the sponsor may include a salvage value for the life beyond 20 years. (f) If at the 30% design stage, a sponsor conducting a LCCA that results in a particular solution for which there is only one contractor has the option to bidding multiple solutions to establish competition.

Table U-8 AIP Handbook Clarification of 2 CFR § 200.320(c) - Procurement by Sealed Bids (Formal Advertising)

Clarifications include...
(9) Guidance for Conducting Life Cycle Cost Analyses. The following three documents provide useful guidance to sponsors. The first document is especially useful for sponsors who have never completed a life cycle cost analysis and would like a simplified primer. (a) Life-Cycle Cost Analysis Primer. (b) The current version of Advisory Circular 150/5320-6, Airport Pavement Design and Evaluation. (c) AAPT 06-06, Life Cycle Cost Analysis for Airport Pavements.
(10) Limits on Using Life Cycle Cost Prior to Bidding. The practice of limiting what alternatives the sponsor will consider in their procurement action prior to bidding may unduly exclude an otherwise eligible alternative and is thus contrary to the fair and open requirements of 2 CFR § 200.319. Per FAA policy, the one exception to this limitation is the comparative analysis of pavement design alternatives. Due to additional design costs associated with multiple pavement design alternatives, sponsors have the option to select a pavement design alternative prior to the bid solicitation provided that sufficient competition exists for the selected alternative. Funding limitations for designing two pavement alternatives is discussed in Paragraph 3-46.

U-16. 2 CFR § 200.320(d) - Procurement by Competitive Proposals.

The following italicized text is directly quoted from 2 CFR part 200.

(d) Procurement by competitive proposals. The technique of competitive proposals is normally conducted with more than one source submitting an offer, and either a fixed price or cost-reimbursement type contract is awarded. It is generally used when conditions are not appropriate for the use of sealed bids. If this method is used, the following requirements apply:

(1) Requests for proposals must be publicized and identify all evaluation factors and their relative importance. Any response to publicized requests for proposals must be considered to the maximum extent practical;

(2) Proposals must be solicited from an adequate number of qualified sources;

(3) The non-Federal entity must have a written method for conducting technical evaluations of the proposals received and for selecting recipients;

(4) Contracts must be awarded to the responsible firm whose proposal is most advantageous to the program, with price and other factors considered; and

(5) The non-Federal entity may use competitive proposal procedures for qualifications-based procurement of architectural/engineering (A/E) professional services whereby competitors' qualifications are evaluated and the most qualified competitor is selected, subject to negotiation of fair and reasonable compensation. The method, where price is not used as a selection factor, can only be used in procurement of A/E professional services. It cannot be

used to purchase other types of services though A/E firms are a potential source to perform the proposed effort.

Table U-9 AIP Handbook Clarification of 2 CFR § 200.320(d) - Procurement by Competitive Proposals

Clarifications include...
(1) Clarifications for all Procurement Methods. Additional clarifications that apply to all procurement methods are contained in Paragraph U-12. These clarifications must be used in addition to the ones listed below.
(2) Difference between Sealed Bids and Competitive Proposals. The main difference between sealed bids and competitive proposals is that a sponsor awards sealed bids based principally on price, and awards competitive proposals based price <i>and/or</i> other factors (such as qualifications, contract time, proposed phasing, or method of construction).
(3) Common Types of Competitive Proposals in AIP. Design-build, construction manager-at-risk, qualification based, and any other alternative delivery methods are all considered to be competitive proposals. A competitive proposal may be a one step or a two-step process. A brief summary of the most common methods are discussed below. Clarification on EMAS procurement, which is a unique type of competitive proposal, is provided at the end of this table. (a) Qualification Based with Negotiated Price (Professional Services). This method is a qualifications based method that is required for professional services. Per 49 USC § 47107(a)(17), AIP must use a qualification based selection method under the Brooks Act for “program management, construction management, planning studies, feasibility studies, architectural services, preliminary engineering, design engineering, surveying, mapping, and related services.” Per the Brooks Act, the competitor cannot provide (and the sponsor cannot use) price information when the sponsor ranks the competitors. The FAA interprets this to mean competitors cannot provide any price information before the sponsor determines the most qualified competitor, even if the price information is in a sealed envelope. However, the sponsor must then negotiate a fair and reasonable price or go to the next qualified competitor. The current version of Advisory Circular 150/5100-14, Architectural, Engineering, and Planning Consultant Services for Airport Grant Projects, provides further guidance. (b) Design-Build. 49 USC § 47142 establishes design-build contracting as an approvable form of contracting under AIP and defines it as “an agreement that provides for both design and construction of a project by a contractor”. This section of the Act also requires that “three or more bids must be submitted”. Section 139 of the Wendell H. Ford Aviation Investment and Reform Act for the 21st Century (AIR-21) established a pilot program design-build contracting under AIP, however, this pilot program expired September 30, 2003 and was replaced by the statute in 49 USC § 47142 per Vision 100 – Century of Aviation Reauthorization Act which made this type of contracting eligible outside of the pilot program. (c) Construction Manager At Risk (CMAR). Under CMAR, the sponsor engages a design firm for the project design. The sponsor selects a construction manager-at-risk (CMAR) based on qualifications and price (e.g. fee) early in the design phase. The CMAR conducts document reviews, constructability reviews, cost estimating and scheduling. The CMAR then competitively procures the construction component of the project and is responsible for ensuring the project is completed within budget and schedule.

Table U-9 AIP Handbook Clarification of 2 CFR § 200.320(d) - Procurement by Competitive Proposals

Clarifications include...
(4) Required Notification to ADO. If the procurement is expected to exceed the simplified acquisition threshold (provided in Table U-7) and is to be awarded without competition, or only one proposal is received in response to a solicitation, the sponsor must notify the ADO in writing prior to the award.
(5) Competitive Proposals Containing Ineligible Work. For competitive proposals the sponsor must select the proposal that is most advantageous to Federal interest and the sponsor must be able to clearly show how the ineligible and eligible costs are divided.
(6) Adequate Number of Qualified Sources. The FAA considers an adequate number of qualified sources to be two or more for competitive proposals, except for when the sponsor uses the design-build method, in which case three or more are required. If the sponsor is only able to obtain a quotation from one qualified source, then the sponsor must then follow sole source requirements.
(7) Written Method for Selection. The sponsor must have a written basis for selection prior to receiving proposals.
(8) Qualification Based With Negotiated Price (Consultant Contracts) Only: (a) When Price must not be used as a Factor. The only competitive proposal procedure where price cannot be used (only other factors) is for the qualifications based procurement of architectural/engineering professional services. (b) Consultant Contract Requirements. The current version of Advisory Circular 150/5100-14, Architectural, Engineering, and Planning Consultant Services for Airport Grant Projects, provides sponsor requirements for consulting contracts, including the unique contract methods (retainers, cost-plus-a-fixed-fee, cost-plus-a-percentage-of-cost, indefinite delivery). Sponsor must not deviate from the requirements in this advisory circular unless the ADO has reviewed the contract and concurs with the deviations. Note that cost-plus-a-percentage-of-cost is specifically prohibited per 2 CFR § 200.323(d). In addition, if the sponsor uses cost-plus-a-fixed-fee, it is FAA policy that profit must be based on a value, not on a multiplier or percentage. For lump sum contracts, it is FAA policy that the negotiation process must clearly show the amount of profit and how it was derived.
(9) Design Build And Construction Manager-At-Risk (And Any Other Competitive Proposal Not Qualification Based With Negotiated Price): (a) Clarifications for Sealed Bids. Since these proposals use price as a factor, the clarifications under sealed bids contained in Paragraph U-15 also apply. (b) When the Use of Sealed Bids Alone is Not Appropriate. The sponsor must only use sealed bids instead of competitive proposals unless: (i) A complete, adequate, and realistic specification or purchase description is not available (for instance, a complex project contains too many unknowns). (ii) The procurement does not lend itself to a firm fixed price contract and the selection of the successful bidder cannot be made principally on the basis of price. (c) Example of Situations where Competitive Proposals may be Appropriate. Examples include complex terminal projects (where there are multiple methods of construction and phasing), large demolition projects (where there are multiple methods of demolition), and rehabilitation of runway

Table U-9 AIP Handbook Clarification of 2 CFR § 200.320(d) - Procurement by Competitive Proposals

Clarifications include...
crossings (where contract time, phasing, or method may have added benefits). In order for the sponsor to consider using competitive proposals, the sponsor must first determine that sealed bids <i>cannot</i> be used. (d) Advantages of Competitive Proposals that are not Allowed under AIP. Because of the Federal contract and procurement requirements, some of the advantages of competitive proposals are not eligible for AIP funding. Sponsors must still meet all applicable 2 CFR §§ 200.317-200.326 and AIP requirements in order for the ADO to fund the costs with AIP. Examples of some costs that are not allowed include early completion bonuses, cost overruns greater than the allowable grant amendment percent, shared costs savings, contingency costs, price escalation, consultant and airport insurance costs, and state and local preferences. (e) Obtaining ADO Concurrence Prior to Award. Per 49 USC § 47142, the sponsor must not award AIP funded design build proposals prior to obtaining ADO concurrence. Per FAA policy, this also applies to construction manager-at-risk proposals (and any other competitive proposals not qualifications based with negotiated price). (f) Submittal of Technical Specifications to ADO. Per 2 CFR § 200.324(a), sponsors must submit all technical specifications to the ADO upon the ADO's request. This may include the plans, the specifications, the engineer's report, and any other items that make up the procurement package. (g) Submittal of Additional Documentation. The sponsor must provide all additional documentation required by the ADO, which for these types of proposals includes, but is not limited to: (i) A description of the method to be used. (ii) A full description of the project with general sketches of proposed work. (iii) Documentation that provides the reason and justification for using the competitive proposal method over sealed bids. (iv) A responsibility matrix showing the contractual relationships between all parties involved in the project. A flowchart is often useful for this purpose. (v) Documentation that the selection process is allowed under state or local law. (vi) A statement describing what safeguards are in place to prevent conflicts of interest. (vii) Proof that the system will be as open, fair and objective as the traditional sealed bid method under 2 CFR § 200.320(c). (viii) Documentation of the amount of experience the parties involved in the project have in the proposed method.
(10) Engineered Materials Arresting Systems (EMAS) Procurement. (a) Procurement Requirement Background. Prior to April 2012, there was only one manufacturer whose product meets the requirements of the current version of Advisory Circular 150/5220-22, Engineered Materials Arresting Systems (EMAS) for Aircraft Overruns. As of the date of this publication, two manufacturers meet these requirements. Therefore, the sponsor must procure the EMAS project under the competitive proposal procurement method that bases the award on price plus other factors, such as phasing, design factors, or total contract time. (b) Exception for Competitive Proposal Procurement. The exception on using the competitive

Table U-9 AIP Handbook Clarification of 2 CFR § 200.320(d) - Procurement by Competitive Proposals

Clarifications include...
procurement method for EMAS is when an EMAS design project is currently under design on the date of Change 1 of this Handbook and the design is beyond 30 percent. In this case, the ADO has the option of allowing the sponsor to use the noncompetitive proposal method to procure the EMAS acquisition and installation. (c) Request for Information (RFI). The sponsor is allowed to issue a Request for Information (RFI) to obtain conceptual designs from EMAS vendors. The RFI is issued solely for informational purposes and is not a solicitation. Similarly, responses to RFI's are not offers from the EMAS vendors. (d) Request for Proposal (RFP) Requirements. At a minimum, the RFP must contain the following information: (i) A description of the project. (ii) An existing site drawing showing topography, utilities and structures. (iii) Preliminary site design information that will affect the design of the EMAS bed. Examples include: RSA available dimensions, proposed grades, new drainage structures, runway/taxiway extensions, new approach light stations. (iv) The current and future (if different from current) fleet mix. Future fleet mixes must be based on terminal area forecasts approved by the ADO. (v) All evaluation criteria. (e) Evaluation Criteria. (i) Proposals demonstrating, through design, that they can meet the requirements for a standard EMAS (70 knot stopping capability for the design aircraft), will take precedence over proposals not demonstrating that they can meet the requirements for a standard EMAS (ii) If all of the proposals are unable to demonstrate that they can meet the requirements for a standard EMAS, but still demonstrate that they can meet the requirements for a non-standard EMAS (minimum of 40 knot stopping capability for the design aircraft), the Sponsor must apply the following rating method for relative importance for these primary categories: a. Stopping capability of aircraft within the fleet mix (50% weighting) b. Cost of the bed (40% weighting) c. Maintenance requirements and costs of the bed annually over the design life (5% weighting) d. Other unique local conditions, such as severe occurrences of jet blast and environmental and operational impact of the EMAS footprint (5% weighting) (iii) The Sponsor may provide additional detailed evaluation criteria, such as ability to meet project schedule and any applicable and unique goal requirements, but must use the primary categories listed above. The rating method does not need to be included in the RFP. (f) Vendor Proposal Requirements. The proposals from the vendors must contain the following information: (i) The specifications of the proposed EMAS. (ii) An updated preliminary site plan drawing that shows the actual dimensions of the proposed

Table U-9 AIP Handbook Clarification of 2 CFR § 200.320(d) - Procurement by Competitive Proposals

Clarifications include...
EMAS footprint and any changes to the sponsor's provided site design. (iii) A description of the product performance assessment and modeling process. (iv) Details on the profile and cross sections of the EMAS including grade. (v) Preliminary calculations for the stopping capability of aircraft within the fleet mix of operation (the highest runway exit speed for each aircraft that can be arrested within the bed). (vi) The cost of the EMAS bed. The cost must be submitted based upon the firm fixed price contract method for all EMAS, installation materials, and self-inspection, testing and administration. Payment for materials will be made upon delivery to the site. At the Sponsor's option, the Sponsor may allow the costs for construction inspection, by the vendor or its representative, to be broken out separately using the cost plus fixed fee method of contract pricing. All shipping, storage and travel costs must be included in the firm fixed price. (vii) The schedule for material delivery. (viii) Annual maintenance cost and requirements of the EMAS over the life of the product. (g) Sponsor Evaluation. The sponsor must review, evaluate, and rate each proposal based on the criteria in the RFP. The sponsor's review must result in the selection of a responsible vendor whose proposal is the most advantageous to the project. The sponsor must give precedence to proposals that provide a standard EMAS over those that do not. For proposals with a standard EMAS, the sponsor must award to the lowest responsible, responsive bidder, with respect to the cost of the EMAS bed. (h) EMAS Bed Replacements and Retrofits. If the ADO concurs that an existing bed must be replaced, then the procurement requirements for new EMAS installation apply. The sponsor must follow the competitive procurement process to select the vendor. In order for a sponsor to retrofit an EMAS with the original vendor, the sponsor must submit documentation to the ADO showing that the bed can only be modified or retrofitted by the original vendor and that the cost benefit of replacing the bed outweighs the cost benefit of retrofit. The retrofitting project cannot be funded without ADO concurrence.

U-17. 2 CFR § 200.320(e) - Reserved.

The following italicized text is directly quoted from 2 CFR part 200.

(e) [Reserved]

U-18. 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals.

The following italicized text is directly quoted from 2 CFR part 200.

(f) Procurement by noncompetitive proposals. Procurement by noncompetitive proposals is procurement through solicitation of a proposal from only one source and may be used only when one or more of the following circumstances apply:

- (1) The item is available only from a single source;*
- (2) The public exigency or emergency for the requirement will not permit a delay resulting from competitive solicitation;*
- (3) The Federal awarding agency or pass-through entity expressly authorizes noncompetitive proposals in response to a written request from the non-Federal entity; or*
- (4) After solicitation of a number of sources, competition is determined inadequate.*

Table U-10 AIP Handbook Clarification of 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals

Clarifications include...
(1) Clarifications for all Procurement Methods. Additional clarifications that apply to all procurement methods are contained in Paragraph U-12. These clarifications must be used in addition to the ones listed below.
(2) Single Source, Sole Source, and Proposals with an Inadequate Number of Qualified Sources. Single source, sole source, and proposals with an inadequate number of qualified sources are noncompetitive. The number of adequate qualified sources is found in Table U-7 for small purchase proposals and Table U-9 for competitive proposals.
(3) Contract Changes. Change orders, supplemental agreements, and contract modifications are noncompetitive. The sponsor and ADO requirements are included in Paragraph 5-35.
(4) Cost Analysis. Per FAA policy, the sponsor must prepare a written cost analysis for noncompetitive procurement proposals.
(5) Required Notification to ADO. If the sponsor procures using noncompetitive proposals, makes a contract modification that changes the scope of a contract, or increases the contract amount by more than the simplified acquisition threshold (provided in Table U-7), the sponsor must notify the ADO in writing prior to executing the procurement action.
(6) Submittal of Technical Specifications to ADO. Per 2 CFR § 200.324(a), sponsors must submit all technical specifications to the ADO upon the ADO's request. This may include the plans, the specifications, the engineer's report, cost analysis, and any other items that make up the procurement package.

Table U-10 AIP Handbook Clarification of 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals

Clarifications include...
(7) Example where Noncompetitive Proposals may be Appropriate. (a) Some Services for Less than \$10,000. Services for \$10,000 or less for appraisals, grant audit services performed as a part of a project, and Independent project cost estimates. The \$10,000 was set by FAA policy in Advisory Circular 150/5100-14, Architectural, Engineering, and Planning Consultant Services for Airport Grant Projects. (b) Public utility company services. Public utility companies generally do not allow work on their property or equipment by anyone other than their own employees. A sponsor often has no other choice than to use a noncompetitive proposal for this type of work. In addition, the FAA has determined that the Federal contract provisions do not apply to this situation. (c) Eligible replacement of a component of a piece of equipment. This may be allowable if using a competitor's replacement part would make the equipment inoperable, such as during a rehabilitation of an ARFF vehicle. The sponsor must document their justification and make it available to the ADO upon request.
(8) Example where Noncompetitive Proposals may not be Appropriate. (a) Sponsor convenience. Sponsors must not use a noncompetitive proposal to ensure consistency of equipment, to improve spare parts management, or to work with companies they have experience with. (b) Compatibility with nonstandard features. If a sponsor purchased equipment with nonstandard features that were not required by the FAA, then the sponsor cannot use compatibility as justification for using noncompetitive procurement. An example is when a sponsor purchases an airfield lighting control panel that includes remote maintenance monitoring, which is not required by the FAA. The sponsor cannot limit the procurement of future regulators to only those regulators that support the nonstandard remote maintenance monitoring.
(9) Noncompetitive Proposals. If a sponsor is using a noncompetitive proposal, a modification to standards may be required. The requirements for a modification to standard are outlined in Paragraph 3-23.

Table U-10 AIP Handbook Clarification of 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals 2 CFR § 200.320(f) - Procurement by Noncompetitive Proposals

Clarifications include...

(10) Separating Noncompetitive and Competitive Procurement. Per FAA policy, sponsors must separate noncompetitive and competitive procurement because it may limit the free and open competition of the competitive procurement. Four examples where sponsors must separate procurement include changes to existing Airfield Lighting Control and Monitoring Systems (ALCMS), certified airfield lighting equipment with only one manufacturer, sponsor preferred airfield lighting equipment, and certified airfield lighting equipment that is prohibited from AIP funding. Requirements include:

- (a) The sponsor must notify the ADO in writing before the noncompetitive procurement begins.
- (b) The notification must include the schedule for both procurements. These schedules must indicate that the equipment procurement will be completed before the overall AIP project procurement begins.
- (c) The sponsor must acknowledge in the notification that not all costs will be eligible for reimbursement with AIP funding (see Paragraph 3-93 for the reimbursement rules).
- (d) The sponsor must complete the noncompetitive procurement before the overall AIP project procurement begins.

U-19. 2 CFR § 200.321 - Contracting with Small and Minority Businesses, Women's Business Enterprises, and Labor Surplus Area Firms.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.321 Contracting with small and minority businesses, women's business enterprises, and labor surplus area firms.

(a) The non-Federal entity must take all necessary affirmative steps to assure that minority businesses, women's business enterprises, and labor surplus area firms are used when possible.

(b) Affirmative steps must include:

(1) Placing qualified small and minority businesses and women's business enterprises on solicitation lists;

(2) Assuring that small and minority businesses, and women's business enterprises are solicited whenever they are potential sources;

(3) Dividing total requirements, when economically feasible, into smaller tasks or quantities to permit maximum participation by small and minority businesses, and women's business enterprises;

(4) Establishing delivery schedules, where the requirement permits, which encourage participation by small and minority businesses, and women's business enterprises;

(5) Using the services and assistance, as appropriate, of such organizations as the Small Business Administration and the Minority Business Development Agency of the Department of Commerce; and

(6) Requiring the prime contractor, if subcontracts are to be let, to take the affirmative steps listed in paragraphs (1) through (5) of this section.

Table U-11 AIP Handbook Clarification of 2 CFR § 200.321, Contracting with Small and Minority Businesses, Women's Business Enterprises, and Labor Surplus Area Firms

Clarifications include...
(1) Disadvantaged Business Enterprise and Bid Responsiveness. The Small and Minority, Women's Business Enterprise (MWBE) and labor surplus area programs are distinct from the Disadvantaged Business Enterprise (DBE) program (which is a DOT program and a requirement for AIP). A sponsor is allowed to include aspirational goals in bid documents, as well as race-neutral small business set-asides per 49 CFR § 26.39. However, it is FAA policy, based on 49 CFR part 26, that the sponsor cannot use any goals other than DBE to determine bid responsiveness. Local goals for MWBE and labor surplus area programs may not be included on an AIP project.
(2) Other Civil Rights Requirements Outside of 2 CFR §§ 200.317-200.326. Sponsors are also required to follow the other civil rights requirements for AIP projects, such as those found in 49 CFR part 26.

U-20. 2 CFR § 200.322 - Procurement of Recovered Materials.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.322 Procurement of recovered materials.

A non-Federal entity that is a state agency or agency of a political subdivision of a state and its contractors must comply with section 6002 of the Solid Waste Disposal Act, as amended by the Resource Conservation and Recovery Act. The requirements of Section 6002 include procuring only items designated in guidelines of the Environmental Protection Agency (EPA) at 40 CFR part 247 that contain the highest percentage of recovered materials practicable, consistent with maintaining a satisfactory level of competition, where the purchase price of the item exceeds \$10,000 or the value of the quantity acquired by the preceding fiscal year exceeded \$10,000; procuring solid waste management services in a manner that maximizes energy and resource recovery; and establishing an affirmative procurement program for procurement of recovered materials identified in the EPA guidelines.

Table U-12 AIP Handbook Clarification of 2 CFR § 200.322 - Procurement of Recovered Materials

Clarifications include...
(1) New Requirement Per 2 CFR § 200.
(2) Clarification from Section 6002(c)(1) of the Resource Conservation and Recovery Act. Sponsors may decide not to procure recovered material if they are not reasonably available in a reasonable period of time; fail to meet reasonable performance standards; or are only available at an unreasonable price.
(3) Listing of Recovered Materials. A listing is available in 40 CFR § 247.3.

U-21. 2 CFR § 200.323, Contract Cost and Price.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.323 Contract cost and price.

(a) The non-Federal entity must perform a cost or price analysis in connection with every procurement action in excess of the Simplified Acquisition Threshold including contract modifications. The method and degree of analysis is dependent on the facts surrounding the particular procurement situation, but as a starting point, the non-Federal entity must make independent estimates before receiving bids or proposals.

(b) The non-Federal entity must negotiate profit as a separate element of the price for each contract in which there is no price competition and in all cases where cost analysis is performed. To establish a fair and reasonable profit, consideration must be given to the complexity of the work to be performed, the risk borne by the contractor, the contractor's investment, the amount of subcontracting, the quality of its record of past performance, and industry profit rates in the surrounding geographical area for similar work.

(c) Costs or prices based on estimated costs for contracts under the Federal award are allowable only to the extent that costs incurred or cost estimates included in negotiated prices would be allowable for the non-Federal entity under Subpart E—Cost Principles of this part. The non-Federal entity may reference its own cost principles that comply with the Federal cost principles.

(d) The cost plus a percentage of cost and percentage of construction cost methods of contracting must not be used.

Table U-13 AIP Handbook Clarification of 2 CFR § 200.323 - Contract Cost and Price

Clarifications include...													
(1) Price or Cost Analysis is a Mandatory Sponsor Action. Sponsors are required to perform a cost or price analysis for every procurement action that uses AIP funds, including contract modifications. Per FAA policy, this includes all procurement actions including contract modifications that are below the simplified acquisition threshold (provided in Table U-7). The only exception is for micro-purchases discussed in Paragraph U-13).													
(2) Application to Professional Services Contracts. Professional service contracts (such as engineering or consultant contracts) are considered <i>for-profit firms</i> and therefore the contract cost and price principles in 48 CFR part 31 (not 2 CFR § 200.323) apply.													
(3) Contract Modifications. Contract modifications include such items as change orders to construction/equipment contracts and supplemental agreements to negotiated professional service contracts. Contract modifications that change the original scope of the project and do not have a line item in the original bid require a full cost analysis. Otherwise, the sponsor can perform a price analysis by simply documenting that the unit prices are consistent with those in the original contract and/or that the changes are necessary to complete the original scope of the work.													
(4) Independent Estimate. The independent estimate methods by project type are included below. These estimates are the initial tool for the sponsor to use in price and cost analyses. <table border="1"> <thead> <tr> <th>For the following project type...</th><th>The independent estimate method is...</th></tr> </thead> <tbody> <tr> <td>Land and easement acquisition</td><td>Appraisals and review appraisals</td></tr> <tr> <td>Equipment acquisition and construction</td><td>Engineer's estimate</td></tr> <tr> <td>Negotiated professional services (such as consultant costs)</td><td>Independent fee estimate</td></tr> <tr> <td>Non-negotiated services (such as newspaper advertisements and rental of facilities for a public hearing)</td><td>Advertised pricing</td></tr> <tr> <td>Non-negotiated service based on law or regulation (such as utility work by the utility company or a reimbursable agreement with the FAA Air Traffic Organization (ATO))</td><td>Not applicable</td></tr> </tbody> </table>		For the following project type...	The independent estimate method is...	Land and easement acquisition	Appraisals and review appraisals	Equipment acquisition and construction	Engineer's estimate	Negotiated professional services (such as consultant costs)	Independent fee estimate	Non-negotiated services (such as newspaper advertisements and rental of facilities for a public hearing)	Advertised pricing	Non-negotiated service based on law or regulation (such as utility work by the utility company or a reimbursable agreement with the FAA Air Traffic Organization (ATO))	Not applicable
For the following project type...	The independent estimate method is...												
Land and easement acquisition	Appraisals and review appraisals												
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Non-negotiated service based on law or regulation (such as utility work by the utility company or a reimbursable agreement with the FAA Air Traffic Organization (ATO))	Not applicable												
(5) Cost Analysis Purpose. A cost analysis is the evaluation of separate elements such as labor or materials that make up the total price to determine if the separate elements are allowable, directly related to the project, and reasonable.													

Table U-13 AIP Handbook Clarification of 2 CFR § 200.323 - Contract Cost and Price

Clarifications include...
(6) Price Analysis Purpose. A price analysis is a process analyzing a proposed total price without evaluating separate cost elements (including profit). The purpose is solely to ensure that a total price is fair and reasonable.
(7) Cost Analysis vs. Price Analysis. Cost analysis is used in instances where a price analysis is not viable (instances listed 2 CFR § 200.323(a)) and requires evaluation of the individual elements of cost that make up the total price. Price analysis is based solely on the total price.
(8) How to do a Cost or Price Analysis. There are a number of publically-available documents on preparing a cost analysis. DOD's Contract Pricing Reference Guides is an excellent source. Another good source is the Quick Guide to Cost and Price Analysis for HUD Grantees and Funding Recipients, United States Department of Housing and Urban Development. Because HUD has similar grant requirements for their grantees as AIP does for sponsors, the requirements are very similar to those of AIP. References and links for these documents are included in Appendix B.
(9) File Retention. Sponsors must retain a copy of the price or cost analysis in the sponsor's files.
(10) Documentation to the ADO. Sponsors must submit all cost and price analysis documentation to the ADO upon request as required in Section 14 of Chapter 3.
(11) Negotiation of Profit. Sponsor must remember to include this step as a separate action for all of the situations outlined in 2 CFR § 200.323(b) (including change orders).
(12) Contract Bonus for Expedited Construction Completion. Contracts sometimes provide for payment of a bonus to the contractor for completing construction early or a phase of the construction early. A sponsor can include a bonus clause in a contract on an AIP project, however, AIP cannot fund the bonus payment.
(13) Escalator Clauses. Escalator clauses are provisions in a contract for increasing or decreasing the contracted price for labor, material, etc., in step with the market prices or an agreed upon benchmark. Sponsors must send their request to the ADO and obtain written APP-1 approval before awarding contracts containing an escalator clause.
(14) Required Prior Notification to ADO. If the sponsor makes a contract modification that changes the scope of a contract or increases the contract amount by more than the simplified acquisition threshold (provided in Table U-7), the sponsor must notify the ADO in writing prior to executing the procurement action.

U-22. 2 CFR § 200.324 - Federal Awarding Agency or Pass-Through Entity Review.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.324 Federal awarding agency or pass-through entity review.

(a) The non-Federal entity must make available, upon request of the Federal awarding agency or pass-through entity, technical specifications on proposed procurements where the Federal awarding agency or pass-through entity believes such review is needed to ensure that the item or service specified is the one being proposed for acquisition. This review generally will take place prior to the time the specification is incorporated into a solicitation document. However, if the non-Federal entity desires to have the review accomplished after a solicitation has been developed, the Federal awarding agency or pass-through entity may still review the specifications, with such review usually limited to the technical aspects of the proposed purchase.

(b) The non-Federal entity must make available upon request, for the Federal awarding agency or pass-through entity pre-procurement review, procurement documents, such as requests for proposals or invitations for bids, or independent cost estimates, when:

(1) The non-Federal entity's procurement procedures or operation fails to comply with the procurement standards in this part;

(2) The procurement is expected to exceed the Simplified Acquisition Threshold and is to be awarded without competition or only one bid or offer is received in response to a solicitation;

(3) The procurement, which is expected to exceed the Simplified Acquisition Threshold, specifies a "brand name" product;

(4) The proposed contract is more than the Simplified Acquisition Threshold and is to be awarded to other than the apparent low bidder under a sealed bid procurement; or

(5) A proposed contract modification changes the scope of a contract or increases the contract amount by more than the Simplified Acquisition Threshold.

(c) The non-Federal entity is exempt from the pre-procurement review in paragraph (b) of this section if the Federal awarding agency or pass-through entity determines that its procurement systems comply with the standards of this part.

(1) The non-Federal entity may request that its procurement system be reviewed by the Federal awarding agency or pass-through entity to determine whether its system meets these standards in order for its system to be certified. Generally, these reviews must occur where there is continuous high-dollar funding, and third party contracts are awarded on a regular basis;

(2) The non-Federal entity may self-certify its procurement system. Such self-certification must not limit the Federal awarding agency's right to survey the system. Under a self-certification procedure, the Federal awarding agency may rely on written assurances from the non-Federal entity that it is complying with these standards. The non-Federal entity must cite specific policies, procedures, regulations, or standards as being in compliance with these requirements and have its system available for review.

Table U-14 AIP Handbook Clarification of 2 CFR § 200.324 - Federal Awarding Agency or Pass-Through Entity Review

Clarifications include...
(1) ADO Responsibilities. The ADO procurement responsibilities are discussed in detail in Section 10 of Chapter 3. The ADO always has the option of reviewing any sponsor procurement documents and systems at any time during the grant process.
(2) Required Sponsor Notifications to the ADO. It is FAA policy that the sponsor must notify the ADO when any of the situations listed in 2 CFR § 200.324(b) exist. The ADO then has the option to require the sponsor to provide further documentation or to conduct a pre-award review.

U-23. 2 CFR § 200.325 - Bonding Requirements.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.325 Bonding requirements.

For construction or facility improvement contracts or subcontracts exceeding the Simplified Acquisition Threshold, the Federal awarding agency or pass-through entity may accept the bonding policy and requirements of the non-Federal entity provided that the Federal awarding agency or pass-through entity has made a determination that the Federal interest is adequately protected. If such a determination has not been made, the minimum requirements must be as follows:

(a) A bid guarantee from each bidder equivalent to five percent of the bid price. The “bid guarantee” must consist of a firm commitment such as a bid bond, certified check, or other negotiable instrument accompanying a bid as assurance that the bidder will, upon acceptance of the bid, execute such contractual documents as may be required within the time specified.

(b) A performance bond on the part of the contractor for 100 percent of the contract price. A “performance bond” is one executed in connection with a contract to secure fulfillment of all the contractor's obligations under such contract.

(c) A payment bond on the part of the contractor for 100 percent of the contract price. A “payment bond” is one executed in connection with a contract to assure payment as required by law of all persons supplying labor and material in the execution of the work provided for in the contract.

Table U-15 AIP Handbook Clarification of 2 CFR § 200.325 - Bonding requirements

Clarifications include...
(1) Contracts at or below the Simplified Acquisition Threshold (provided in Table U-7). Sponsors have the option to follow their own requirements relating to bid guarantees, performance bonds, and payment bonds for construction if the contract or subcontract is at or below the simplified acquisition threshold (provided in Table U-7).
(2) Maintenance Bonds and Extended Warrantees. Maintenance bonds and extended warrantees are not required under 2 CFR § 200.325 and cannot be funded under AIP. If a sponsor chooses to require a maintenance bond or an extended warrantee, then the sponsor must clearly bid that item separately and not include the costs in the AIP project.
(3) Requirements for Nonstandard Bonding. If the sponsor deviates from the minimum bonding requirements, the sponsor must submit a written assurance to the ADO that the Federal interests are adequately protected.
(4) Combined Payment and Performance Bonds. A combined payment and performance bond does <i>not</i> meet the minimum requirements and must not be used unless sponsor has submitted a written assurance to the ADO that the Federal interests are adequately protected.
(5) Bonding for Equipment Procurement Projects (no construction included in project). For an AIP project that is solely to acquire equipment, with no associated construction of any kind, by FAA policy, the decision to require bonds (or not) is at the discretion of the sponsor.

U-24. 2 CFR § 200.326 - Contract provisions.

The following italicized text is directly quoted from 2 CFR part 200.

§ 200.326 Contract provisions.

The non-Federal entity's contracts must contain the applicable provisions described in Appendix II to Part 200—Contract Provisions for non-Federal Entity Contracts Under Federal Awards.

Appendix II to Part 200—Contract Provisions for Non-Federal Entity Contracts Under Federal Awards

In addition to other provisions required by the Federal agency or non-Federal entity, all contracts made by the non-Federal entity under the Federal award must contain provisions covering the following, as applicable.

(A) Contracts for more than the simplified acquisition threshold currently set at \$150,000, which is the inflation adjusted amount determined by the Civilian Agency Acquisition Council and the Defense Acquisition Regulations Council (Councils) as authorized by 41 U.S.C. 1908, must address administrative, contractual, or legal remedies in instances where contractors violate or breach contract terms, and provide for such sanctions and penalties as appropriate.

(B) All contracts in excess of \$10,000 must address termination for cause and for convenience by the non-Federal entity including the manner by which it will be effected and the basis for settlement.

(C) Equal Employment Opportunity. Except as otherwise provided under 41 CFR Part 60, all contracts that meet the definition of "federally assisted construction contract" in 41 CFR Part 60-1.3 must include the equal opportunity clause provided under 41 CFR 60-1.4(b), in accordance with Executive Order 11246, "Equal Employment Opportunity" (30 FR 12319, 12935, 3 CFR Part, 1964-1965 Comp., p. 339), as amended by Executive Order 11375, "Amending Executive Order 11246 Relating to Equal Employment Opportunity," and implementing regulations at 41 CFR part 60, "Office of Federal Contract Compliance Programs, Equal Employment Opportunity, Department of Labor."

(D) Davis-Bacon Act, as amended (40 U.S.C. 3141-3148). When required by Federal program legislation, all prime construction contracts in excess of \$2,000 awarded by non-Federal entities must include a provision for compliance with the Davis-Bacon Act (40 U.S.C. 3141-3144, and 3146-3148) as supplemented by Department of Labor regulations (29 CFR Part 5, "Labor Standards Provisions Applicable to Contracts Covering Federally Financed and Assisted Construction"). In accordance with the statute, contractors must be required to pay wages to laborers and mechanics at a rate not less than the prevailing wages specified in a wage determination made by the Secretary of Labor. In addition, contractors must be required to pay wages not less than once a week. The non-Federal entity must place a copy of the current prevailing wage determination issued by the Department of Labor in each solicitation. The decision to award a contract or subcontract must be conditioned upon the acceptance of the wage determination. The non-Federal entity must report all suspected or reported violations to the Federal awarding agency. The contracts must also include a provision for compliance with the Copeland "Anti-Kickback" Act (40 U.S.C. 3145), as supplemented by Department of Labor regulations (29 CFR Part 3, "Contractors and Subcontractors on Public Building or Public Work Financed in Whole or in Part by Loans or Grants from the United States"). The Act provides that each contractor or subrecipient must be prohibited from inducing, by any means, any person employed in the construction, completion, or repair of public work, to give up any part of the compensation to which he or she is otherwise entitled. The non-Federal entity must report all suspected or reported violations to the Federal awarding agency.

(E) Contract Work Hours and Safety Standards Act (40 U.S.C. 3701-3708). Where applicable, all contracts awarded by the non-Federal entity in excess of \$100,000 that involve the employment of mechanics or laborers must include a provision for compliance with 40 U.S.C. 3702 and 3704, as supplemented by Department of Labor regulations (29 CFR Part 5). Under 40 U.S.C. 3702 of the Act, each contractor must be required to compute the wages of every mechanic and laborer on the basis of a standard work week of 40 hours. Work in excess of the standard work week is permissible provided that the worker is compensated at a rate of not less than one and a half times the basic rate of pay for all hours worked in excess of 40 hours in the work week. The requirements of 40 U.S.C. 3704 are applicable to construction work and provide that no laborer or mechanic must be required to work in surroundings or under working conditions which are unsanitary, hazardous or dangerous. These requirements do not apply to the purchases of supplies or materials or articles ordinarily available on the open market, or contracts for transportation or transmission of intelligence.

(F) Rights to Inventions Made Under a Contract or Agreement. If the Federal award meets the definition of “funding agreement” under 37 CFR § 401.2 (a) and the recipient or subrecipient wishes to enter into a contract with a small business firm or nonprofit organization regarding the substitution of parties, assignment or performance of experimental, developmental, or research work under that “funding agreement,” the recipient or subrecipient must comply with the requirements of 37 CFR Part 401, “Rights to Inventions Made by Nonprofit Organizations and Small Business Firms Under Government Grants, Contracts and Cooperative Agreements,” and any implementing regulations issued by the awarding agency.

(G) Clean Air Act (42 U.S.C. 7401-7671q.) and the Federal Water Pollution Control Act (33 U.S.C. 1251-1387), as amended—Contracts and subgrants of amounts in excess of \$150,000 must contain a provision that requires the non-Federal award to agree to comply with all applicable standards, orders or regulations issued pursuant to the Clean Air Act (42 U.S.C. 7401-7671q) and the Federal Water Pollution Control Act as amended (33 U.S.C. 1251-1387). Violations must be reported to the Federal awarding agency and the Regional Office of the Environmental Protection Agency (EPA).

(H) Mandatory standards and policies relating to energy efficiency which are contained in the state energy conservation plan issued in compliance with the Energy Policy and Conservation Act (42 U.S.C. 6201).

(I) Debarment and Suspension (Executive Orders 12549 and 12689)—A contract award (see 2 CFR 180.220) must not be made to parties listed on the governmentwide Excluded Parties List System in the System for Award Management (SAM), in accordance with the OMB guidelines at 2 CFR 180 that implement Executive Orders 12549 (3 CFR Part 1986 Comp., p. 189) and 12689 (3 CFR Part 1989 Comp., p. 235), “Debarment and Suspension.” The Excluded Parties List System in SAM contains the names of parties debarred, suspended, or otherwise excluded by agencies, as well as parties declared ineligible under statutory or regulatory authority other than Executive Order 12549.

(J) Byrd Anti-Lobbying Amendment (31 U.S.C. 1352)—Contractors that apply or bid for an award of \$100,000 or more must file the required certification. Each tier certifies to the tier above that it will not and has not used Federal appropriated funds to pay any person or organization for influencing or attempting to influence an officer or employee of any agency, a member of Congress, officer or employee of Congress, or an employee of a member of Congress in connection with obtaining any Federal contract, grant or any other award covered by 31 U.S.C. 1352. Each tier must also disclose any lobbying with non-Federal funds that takes place in connection with obtaining any Federal award. Such disclosures are forwarded from tier to tier up to the non-Federal award.

(K) See § 200.322 Procurement of recovered materials.

**Table U-16 AIP Handbook Clarification of 2 CFR § 200.326 - Contract Provisions
2 CFR § 200.326 - Contract provisions**

Clarifications include...
(1) Additional Clauses and Provisions for AIP Projects and Obligated Sponsors. Appendix II of 2 CFR part 200 (as referenced by 2 CFR § 200.326 does not contain all of the required clauses and provision for AIP projects and obligated sponsors. There are other regulations and statutes that establish additional clauses and provisions. A consolidated listing of required clauses and provision for AIP projects and obligated sponsors is contained in Contract Provision Guidelines for Obligated Sponsors and Airport Improvement Program Projects (see Appendix B for link).
(2) Explanation of Apparent Conflict in Contract Levels between 40 USC § 3701, et seq. and 2 CFR part 200, Appendix II (E). The Contract Work Hours and Safety Standards Act contract provision applies to all contracts in excess of \$100,000 that involve labor based on the following: (a) The Contract Work Hours and Safety Standards Act is codified at 40 USC § 3701, et seq. (b) The Act applies to sponsor contracts and subcontracts “financed at least in part by loans or grants from... the [Federal] Government.” This is based on 40 USC § 3701(b)(1)(B)(iii) and (b)(2); 29 CFR § 5.2(h); and 2 CFR part 200, Appendix II (E). (c) Although the original Act required its application in any construction contract over \$2,000 or non-construction contract to which the Act applied over \$2,500 (and language to that effect is still found in 2 CFR part 200, Appendix II (E)), the Act no longer applies to any “contract in an amount that is not greater than \$100,000”. This is based on 40 USC § 3701(b)(3)(A)(iii).
(3) Requirement to Include these Contract Provisions into AIP Funded Project Contracts. The sponsor must physically incorporate these contract provisions in each contract funded under AIP. The sponsor must require the contractor (or subcontractor) to insert these contract provisions in each subcontract and further require its inclusion in all lower tier subcontracts (excluding purchase orders, rental agreements and other agreements for supplies or services). (a) The sponsor must require the contractor to incorporate applicable requirements of these contract provisions by reference for work done under any purchase orders, rental agreements and other agreements for supplies or services. The prime contractor is responsible for compliance by any subcontractor, lower-tier subcontractor or service provider. (b) Subject to the applicability criteria noted in the specific contractor provisions, these contract provisions apply to all work performed on the contract by the contractor’s own organization and with the assistance of workers under the contractor’s immediate supervision and to all work performed on the contract by piecework, station work, or by subcontract. (c) A breach of any of the stipulations contained in these required contract provisions may be sufficient grounds for withholding of progress payments, withholding of final payment, termination of the contract, suspension/debarment or any other action determined to be appropriate by the sponsor and AIP.
(4) Byrd Anti-Lobbying Amendment. This amendment, which is covered in 2 CFR part 200, Appendix II (J) is also covered under 49 CFR part 20.